

Feel the Burn; Initiate at Buy

We initiate AEHR with a Buy/\$175 PT, viewing the company as the only vendor offering both wafer- and package-level burn-in qualified into AI production. AEHR has rapidly transformed from >90% SiC in FY24 to AI >90% in FY26. We forecast a 52% FY25-FY28 revenue CAGR and gross margin recovering to 45% by FY28, yet the market still prices AEHR against its legacy SiC profile, leaving attractive risk/reward.

- **AI a LT Secular Tailwind:** We see AI/AP/SiPho as a significant LT catalyst, as rising chip value, higher power envelopes, chiplet/HBM integration, and compounding package-yield risk all increase reliability-test intensity. These trends require earlier known-good-die screening, higher-power thermal stress, and both wafer- and package-level burn-in, directly benefiting AEHR's platforms. AEHR is increasingly aligned with the highest-value, fastest-growing areas of semi test, positioning it to capture opportunity as AI ramps.
- **Cyclical Recovery in SiC/GaN Emerging as 2nd Growth Driver:** A cyclical recovery in SiC provides a 2nd leg of growth as the EV inventory correction clears, evidenced by ~\$8M of new SiC WaferPak orders and lead-customer 200mm transitions. GaN broadens exposure beyond auto into data center power. Importantly, the thesis no longer requires a return to peak SiC spend, as stabilization plus GaN adoption is incremental upside as customers resume qualification and capacity investment.
- **Transformation & Diversification Improve Revenue Quality:** AEHR has undergone one of the semi equipment sector's most significant mix transformations, with SiC >90% of FY24 revenue and now AI >90% of FY26 revenue. Additionally, the top customer has fallen from ~79% of revenue in FY23 to an estimated <25% in FY27E, while revenue now spans AI accelerators, package-level burn-in, SiPho, networking, and power semis. Recurring WaferPak and DiePak consumables add durability, making revenue less dependent on any single program.
- **Conservative Model With Upside to Our Forecast:** We see credible upside to our estimates, built only on programs already in production and backlog booked. We forecast revenue growing from \$59M in FY25 to \$206M in FY28E (~52% 3-Yr CAGR), gross margin recovering from 38.5% to 45.3% by FY28E, and non-GAAP EPS rising from \$0.15 in FY25 to \$1.45 in FY28E. Our model excludes memory, CPO, conversion of the AI benchmark customer, and a return to peak SiC, each upside against a SAM growing from \$626M in 2026 to \$2.0B by 2030.
- **Initiate Buy, \$175 PT:** Our \$175 PT is based on 20x EV/CY29E revenue of \$328M discounted to CY28 at 15%, ~36% upside. AEHR already trades at ~20x consensus CY28E revenue today, above the test peer group, but we believe the multiple is sustainable as the market shifts toward AI reliability test and AEHR's position as the only vendor offering both wafer- and package-level burn-in qualified into AI production. The market still prices AEHR against its FY24 SiC profile despite AI, SiPho, and networking now driving revenue and backlog.

FY (Jun)	2025A	2026E	2027E	2028E
Rev. (MM)	53.2	93.3	169.1	244.7
Cons. Rev.	53.3	92.5	175.7	-
EPS	0.02	0.43	1.05	1.87
Cons. EPS	2.09	0.37	1.07	-

INITIATING COVERAGE

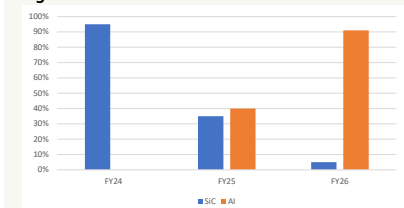
RATING	BUY
PRICE	\$129.23*
PRICE TARGET % TO PT	\$175.00 +35%
52W HIGH-LOW	\$133.35 - \$16.38
FLOAT (%) ADV MM (USD)	93.1% 395.39
MARKET CAP	\$4.3B
TICKER	AEHR

*Prior trading day's closing price unless otherwise noted.

Cal	CHANGE TO JEF		JEF vs CONS	
	2026	2027	2026	2027
REV	NA	NA	+1%	-4%
EPS	NA	NA	+18%	-2%

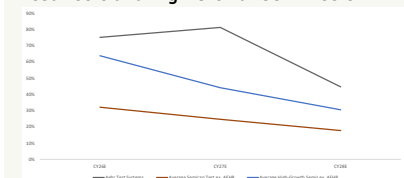
2026 (\$)	Q1A	Q2	Q3	Q4	Cal
EPS	(0.05)	0.11	0.13	0.23	0.43
PREV					

Figure 1 - AEHR SiC vs AI Revenue %



Source: Company reports, JEF Research

Figure 2 - AEHR is Outgrowing Both Semicap Test Peers and High-Growth Semi Peers



Source: Company reports, FactSet, JEF Research

Kevin Garrigan * | Equity Analyst

+1 (212) 284-2317 | kgarrigan@jefferies.com

Blayne Curtis * | Equity Analyst

+1 (212) 336-7493 | bcurtis@jefferies.com

Crawford Clarke, CFA * | Equity Associate

+1 (212) 336-7399 | cclarke2@jefferies.com

Andrew Buller * | Equity Associate

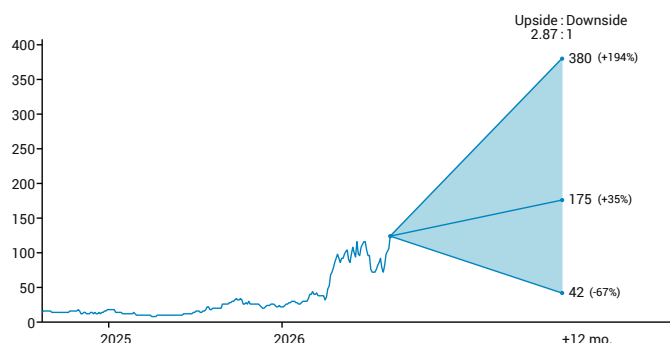
+1 (646) 352-5639 | abuller@jefferies.com

The Long View: Aehr

Investment Thesis

The semiconductor industry is entering an era where the cost of discovering failure is rising faster than the cost of preventing it. AEHR is the only vendor offering both wafer- and package-level burn-in qualified into AI production, screening latent defects before chiplet, HBM, and advanced-packaging integration places thousands of dollars of value behind each die. AI, silicon photonics, and networking now drive the majority of revenue, with a recovering SiC/GaN power cycle as a second leg. We forecast a ~52% FY25-FY28 revenue CAGR on programs already in production, with EPS scaling to \$1.45 by FY28E. We believe the market still misprices AEHR against its legacy silicon carbide profile.

Risk/Reward - 12 Month View



Base Case, \$175, +35%

Our base case assumes continued scale to existing AI wafer-level and package-level burn-in programs through FY28, supported by ramping SiPho production and a record backlog. We also expect a gradual recovery in SiC and emerging GaN adoption to add a 2nd growth driver, while improving utilization and mix drive GM % recovery toward prior-peak levels.

Price Target: \$175 implies 20x EV/Sales on our CY29E revenue of \$328M, discounted back to CY28 at a 15% discount rate.

Upside Scenario, \$380, +194%

Our upside scenario assumes faster AI wafer-level burn-in adoption across additional accelerators, conversion of the AI benchmark customer into production, and stronger Sonoma ramps at hyperscalers, driving upside to systems revenue, gross margin, and EPS. Emerging memory (NAND/HBM), broad co-packaged optics, and a return toward peak SiC add optionality, while higher WaferPak attach and richer mix support better margins, model upside, and multiple expansion.

Price Target: \$380 implies 35x our CY29E revenue of \$410M, discounted back to CY28 at a 15% discount rate.

Downside Scenario, \$42, -67%

Our downside scenario assumes slower AI wafer-level burn-in adoption, delays converting benchmark and qualification programs into production, and a muted SiC/GaN recovery, limiting systems revenue, gross margin expansion, and EPS recovery. Recurring WaferPak consumables and diversification provide some stability, but not enough to offset softer demand and order lumpiness, leaving more exposure to customer concentration and cyclicality.

Price Target: \$42 implies 6x our CY29E revenue of \$246M, discounted back to CY28 at a 15% discount rate.

Sustainability Matters

Top Material Issues:

Product Design & Lifecycle: As a supplier of semiconductor burn-in and reliability test equipment, AEHR's environmental impact is driven mainly by the energy and thermal draw of its high-power FOX and Sonoma systems, consumables lifecycle, and manufacturing energy use. AEHR engineers products for efficiency via conductive (vs. air-cooled) thermal designs and notes its tools use ~5% of competitors' floor space.

Company Target(s): AEHR maintains an ESG policy across environmental, social, and governance, with facility-level actions like high-efficiency HVAC, lighting, and modernized power/cooling. It remains an earlier-stage reporter and has not published formal quantitative or SBTi-validated Scope 1, 2, and 3 targets.

Questions for Management: 1) Given rising AI burn-in power envelopes (Sonoma at 2,000W/device), how is AEHR managing system and factory energy intensity as volumes ramp? 2) Do you plan to set formal emissions targets, and are customers weighing sustainability metrics when qualifying next-gen platforms.

Catalysts

- More FOX-XP wins in AI wafer-level burn-in signaling volume production.
- AI benchmark customer converting to production.
- Record Sonoma orders ramping at hyperscalers.
- SiPho production scaling with new networking wins.
- SiC/GaN recovery accelerating.
- Memory (NAND/HBM) qualification progressing, driving upside and a potential rerating.

Failure Is Getting More Expensive, and AEHR Sells the Insurance

We are initiating coverage of AEHR with a Buy rating and a \$175 price target. Aehr Test Systems is a supplier of wafer-level and package-level burn-in systems, proprietary WaferPak and DiePak consumables, and related services, used to stress semiconductors and screen out latent, early-life defects before they fail in production or in the field. We believe the company is evolving from a concentrated silicon carbide capital-equipment supplier into a differentiated AI reliability platform, with growing exposure to AI accelerators, package-level burn-in, silicon photonics, and a recovering wide-bandgap power market. In our view, this combination should support a multi-year revenue inflection, gross-margin recovery, and outsized EPS leverage over the next several years.

AEHR's opportunity is increasingly tied to the rising cost of failure. As AI processors move to larger packages, higher socket power, and advanced packaging like CoWoS, each successive manufacturing step places more value behind the original die, turning reliability screening into a gating step rather than a discretionary quality check. Compound package yield falls as die count rises, and a defect found after integration scraps the substrate, the compute chiplets, and up to eight HBM stacks in one action, making early wafer-level screening for roughly \$1 per die economically essential versus scrapping a five-figure module. We believe AEHR is well positioned to benefit through its FOX-XP wafer-level platform, proprietary WaferPak contactors, and high-power Sonoma package-level system, which together span engineering qualification through high-volume production. The company has also disclosed multiple recent wins, including a record \$41M Sonoma follow-on order from a lead hyperscaler, a second AI accelerator customer completing benchmark testing above expectations, expanding silicon photonics production orders, and a return of ~\$8M in silicon carbide WaferPak orders.

We believe AEHR offers an attractive investment opportunity:

- **Greater Exposure to AI / Silicon Photonics / Advanced Packaging:** We see AI as the company's most important secular growth vector, with AI-related applications over 90% of FY26 revenue. Rising per-package power and compound yield risk push high-value programs toward 100% production screening, and AEHR is the only vendor offering both wafer-level (FOX-XP + WaferPak) and package-level (Sonoma) burn-in qualified into AI production, giving it a seamless path from qualification to volume.
- **Power Semiconductor Recovery Emerging as a Second Driver:** Silicon carbide is stabilizing after a multi-year EV inventory correction, with lead-customer 200mm transitions and new automotive qualification activity resuming, while GaN broadens exposure into data-center power. Importantly, the thesis no longer requires a return to peak SiC spending. Stabilization plus GaN adoption is incremental upside.
- **Higher-Quality Revenue through Consumables and Diversification:** WaferPak and DiePak consumables generate recurring revenue tied to production volume, device refreshes, and capacity adds, with management targeting 30% - 50% of revenue over time. A broader customer base (top customer falling from ~79% of revenue in FY23 to an estimated <25% in FY27E) reduces dependence on any single spending cycle.

We also see upside to the model. We forecast revenue growing from \$50M in FY26 to \$140.4M in FY27E and \$206.0M in FY28E, a ~52% 3-Yr CAGR, with gross margin recovering from 38.5% in FY26 to 43.3% in FY27E and 45.3% in FY28E, and non-GAAP EPS increasing from \$0.15 in FY25 to \$1.45 in FY28E. Our estimates are built around programs already in production, with FY27 roughly 71% covered by \$100.6M of effective backlog, and do not require broad WLBI adoption, a major GaN ramp, or conversion of the AI benchmark customer. We see additional upside from memory (NAND/HBM), broad co-packaged optics, a return to peak SiC, GaN conversions, and further acquisitions.

Headwinds for AEHR include customer concentration (top programs still a meaningful share of revenue), qualification and conversion timing on benchmark, memory, and hyperscale engagements, and quarterly order lumpiness given a small revenue base. The company also faces package-level margin dilution as Sonoma scales, AI/hyperscale spending volatility tied to customer ASIC roadmaps, and the risk that wafer-level burn-in adoption remains limited to a small number of programs. We believe these risks are balanced by a more diversified, higher-quality business model than in prior cycles, with a growing recurring-consumables base and exposure to multiple secular growth markets.

Our \$175 price target is based on 20x EV/CY29E revenue of \$328M discounted back to CY28 at a 15% rate. We use EV/Sales as our primary framework because AEHR is in the early stages of a multi-year revenue and earnings inflection, growing well above the broader semiconductor-equipment industry while margins and recurring mix improve, which makes near-term earnings multiples less representative of long-term earnings power. Notably, AEHR already trades at ~20x consensus CY28E revenue today, and we believe this is sustainable and apply it to our forecast, viewing it as sustainable as the mix shifts toward AI reliability test. While our multiple sits above the semiconductor test peer group (and high-growth semis peer group), we believe AEHR warrants it given its unique wafer- and package-level positioning, recurring-revenue optionality, and significant operating leverage as revenue scales. We see an attractive risk/reward, with the market still pricing AEHR against its FY24 silicon carbide profile despite AI, silicon photonics, and networking now driving the substantial majority of revenue and backlog.

Figure 3 - AEHR Comp Table

Company Name	Ticker	Rating	8/13/2026 Price	Price Target	Upside/ Downside	Market Cap (\$M)	Enterprise Value (\$M)	Valuation										P/E	CY28E	
								CY26E	EV/Sales	CY27E	CY28E	CY26E	EV/CF	CY27E	CY28E	CY26E	EV/EBITDA			CY27E
Semicap Test																				
Advantest Corp.	6857-JP	NR	\$216.99	NR	NR	158,836	156,218	16.3x	12.8x	10.8x	57.4x	41.3x	31.4x	32.2x	24.8x	20.6x	45.3x	34.8x	28.8x	
Accellis Technologies, Inc.	ACLS-US	NR	\$142.14	NR	NR	4,389	4,093	4.6x	4.1x	3.3x	NM	NM	NM	30.4x	21.9x	NM	34.6x	27.0x	17.3x	
Cohu, Inc.	COHU-US	Buy	\$56.14	\$74.00	32%	2,658	2,490	4.1x	3.2x	2.8x	4761.1x	54.6x	23.5x	30.7x	16.7x	12.9x	59.1x	30.4x	22.0x	
MKS Inc.	MKSI-US	NR	\$306.83	NR	NR	20,747	25,882	5.1x	4.2x	3.9x	42.6x	29.3x	22.9x	18.3x	14.4x	12.6x	23.4x	17.5x	15.4x	
Nova Ltd.	NVM-US	Buy	\$405.90	\$600.00	48%	12,901	13,766	12.8x	10.1x	8.6x	65.3x	38.1x	NM	34.9x	26.3x	20.1x	38.0x	29.7x	24.5x	
Onto Innovation, Inc.	ONTO-US	Buy	\$337.35	\$400.00	19%	16,555	16,350	11.4x	8.9x	7.8x	81.2x	34.8x	33.1x	34.8x	24.2x	20.6x	41.7x	30.0x	25.3x	
Teradyne, Inc.	TER-US	NR	\$402.74	NR	NR	62,965	63,291	12.3x	10.1x	8.1x	51.0x	48.7x	34.6x	35.4x	27.0x	20.3x	43.7x	34.3x	26.1x	
Veeco Instruments Inc.	VECO-US	NR	\$53.26	NR	NR	3,256	3,389	4.3x	3.1x	NM	NM	NM	NM	31.4x	14.4x	NM	35.5x	16.8x	NM	
Average ex. AEHR							35,288	35,685	8.9x	7.1x	6.5x	843.1x	41.1x	29.1x	31.0x	21.2x	17.8x	40.2x	27.6x	22.8x
Median ex. AEHR							14,728	15,058	8.3x	6.6x	7.8x	61.4x	39.7x	31.4x	31.8x	23.0x	20.2x	39.9x	29.9x	24.5x
AEHR Test Systems							4,216	3,857	40.8x	22.0x	15.5x	NM	NM	NM	276.4x	113.1x	NM	338.5x	120.8x	67.8x
High-Growth Semis																				
ARM Holdings PLC Sponsored ADR	ARM-US	NR	\$271.87	NR	NR	289,285	289,673	50.2x	37.9x	28.4x	193.1x	130.2x	88.0x	102.3x	77.7x	59.1x	128.6x	96.4x	72.1x	
Astera Labs, Inc.	ALAB-US	Buy	\$318.80	\$450.00	41%	55,307	57,240	30.5x	19.1x	14.6x	104.6x	36.3x	40.6x	77.5x	43.7x	32.8x	80.7x	49.9x	39.2x	
Cohesent Corp.	COHR-US	Buy	\$355.64	\$375.00	5%	69,577	71,343	8.5x	6.2x	4.5x	312.8x	78.5x	40.3x	33.9x	22.5x	16.4x	51.0x	32.4x	23.5x	
Credo Technology Group Holding Ltd.	CRDO-US	Buy	\$268.16	\$270.00	1%	50,006	49,058	23.5x	15.0x	11.1x	68.7x	36.0x	25.7x	45.7x	27.9x	21.0x	50.9x	33.0x	25.6x	
Lattice Semiconductor Corporation	LSCC-US	Buy	\$129.27	\$175.00	35%	18,360	17,993	19.6x	13.5x	11.2x	66.9x	43.1x	32.0x	45.4x	30.0x	24.3x	60.7x	40.3x	30.5x	
Lumentum Holdings, Inc.	LITE-US	Buy	\$932.47	\$1,200.00	29%	72,546	68,495	14.9x	8.8x	6.2x	80.9x	36.1x	21.3x	36.7x	19.5x	13.2x	62.1x	34.3x	23.6x	
MACOM Technology Solutions Holdings, Inc.	MTSI-US	Buy	\$310.75	\$450.00	45%	23,732	24,117	22.8x	16.7x	12.9x	116.1x	77.3x	42.5x	64.3x	46.0x	32.5x	78.0x	49.6x	35.1x	
Monolithic Power Systems, Inc.	MPWR-US	NR	\$1,425.01	NR	NR	70,029	68,801	16.6x	13.2x	11.5x	63.5x	42.9x	41.6x	44.4x	34.1x	27.9x	52.1x	40.6x	35.8x	
Average ex. AEHR							81,105	80,840	23.3x	16.3x	12.6x	125.8x	59.8x	41.5x	56.3x	37.7x	28.4x	70.5x	47.0x	35.7x
Median ex. AEHR							62,442	62,868	21.2x	14.3x	11.4x	92.8x	43.0x	40.5x	45.6x	32.0x	26.1x	61.4x	40.4x	32.8x
AEHR Test Systems							4,216	3,857	40.8x	22.0x	15.5x	NM	NM	NM	276.4x	113.1x	NM	338.5x	120.8x	67.8x

Source: FactSet, JEF Research

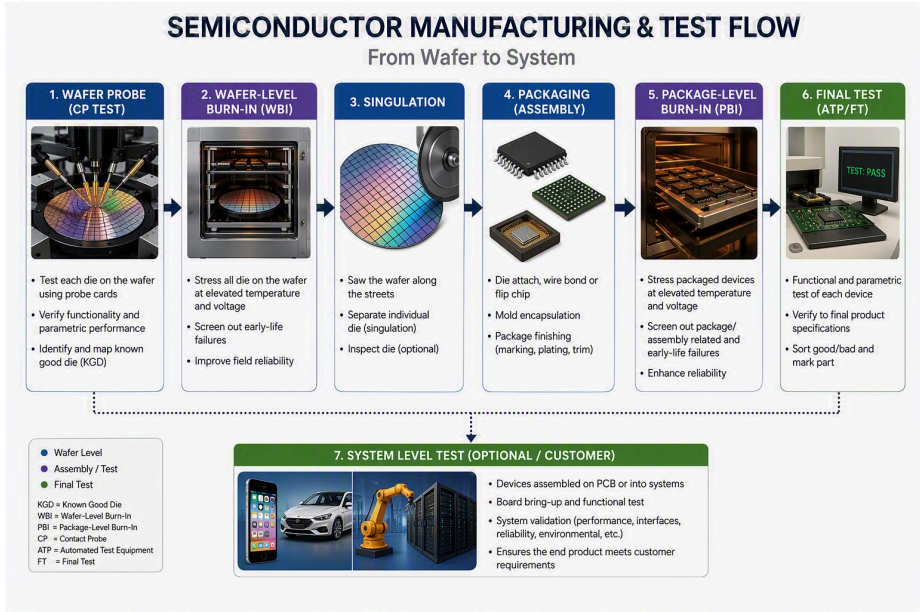
AEHR 101: Burning-In Before Burning Cash

Aehr Test Systems, founded in 1977 and headquartered in Fremont, California designs and builds test systems that stress semiconductor devices in wafer, singulated die, and packaged part form to force infant mortality out in the factory rather than in the field. The revenue model has three legs: systems (FOX-XP, FOX-NP, FOX-CP, Sonoma, Tahoe, Echo), consumables (WaferPak contactors and DiePak carriers), and services (installation, warranty, applications engineering, spares). Each system placed pulls a multi-year stream of device specific WaferPak purchases with a two-to-seven-year lifecycle.

Where Burn-In Sits in the Test Flow

The standard chip manufacturing flow begins with wafer probe, where processed silicon wafers undergo electrical checks to identify functional defects before slicing. Under modern high-reliability protocols, wafers can transition directly to wafer-level burn-in (WLBI) to isolate early life failures at the earliest possible stage. Following wafer-level steps, the wafer is singulated into individual die and packaged. Packaged devices are then subjected to package-level burn-in (PLBI) and final electrical test. Lastly, devices are routed through system-level test (SLT) to verify their performance in a simulated end-user system environment.

Figure 4 - AEHR's Opportunities are during Wafer-Level Burn-In and Package-Level Burn-In



Source: JEF Research

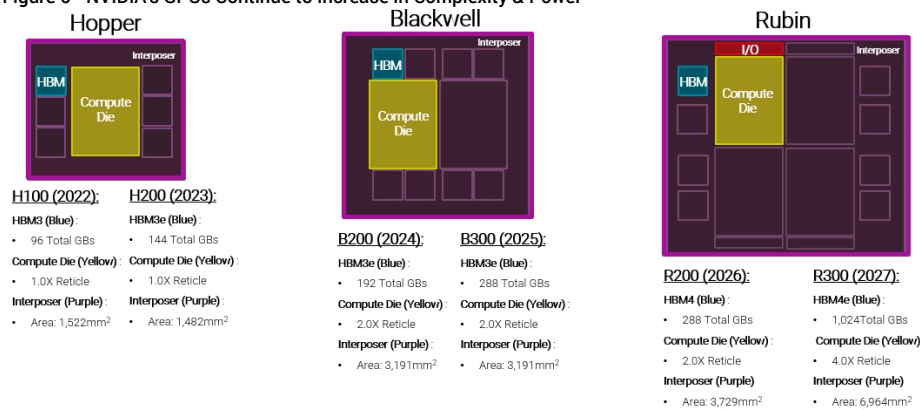
Figure 5 - Semiconductor Manufacturing Test Steps

Step	What Happens	AEHR Product
Wafer probe	Basic yield and parametric screen	(Standard ATE)
Wafer burn-in (WBI)	Elevated V/T stress on 300mm wafer	FOX-XP / FOX-NP / FOX-CP
Singulation and packaging	Die assembled into module	(n/a)
Package burn-in (PLBI)	Elevated V/T stress on assembled part	Sonoma / Tahoe / Echo
Final test / SLT	Functional test, system level test	(Standard ATE + SLT)

Source: Company reports, JEF Research

Functional and parametric testing verify that a semiconductor device meets its performance specifications, such as timing, speed, voltage, and power characteristics, under defined operating conditions. Burn-in testing serves a different purpose, subjecting devices to elevated temperatures, voltages, and current levels over an extended period to accelerate latent defects and identify early-life failures that may not be detected through standard functional testing. Both wafer-level burn-in and package-level burn-in are reliability screening techniques used to improve long-term device robustness. Production burn-in is typically performed for 2 to 48 hours to screen devices prior to shipment, while qualification burn-in and High Temperature Operating Life (HTOL) testing can extend to 1,000 hours or more to validate the reliability of a design or manufacturing process. While sample-based reliability testing may be sufficient for mature, lower-value products with manageable field-failure costs, full production screening becomes increasingly attractive as device complexity, downstream value, and the cost of failure rise, particularly in applications such as AI accelerators, silicon photonics, and automotive power semiconductors. Wafer-level burn-in screens devices before packaging, enabling known-good-die selection, reducing advanced packaging scrap, and improving yields in chiplet, HBM, and multi-die architectures by identifying latent defects early in the manufacturing flow. Package-level burn-in complements wafer-level screening by validating the fully assembled device under real-world thermal and electrical stress conditions, helping detect package-induced defects and ensuring long-term reliability before shipment or deployment.

Figure 6 - NVIDIA's GPUs Continue to Increase in Complexity & Power



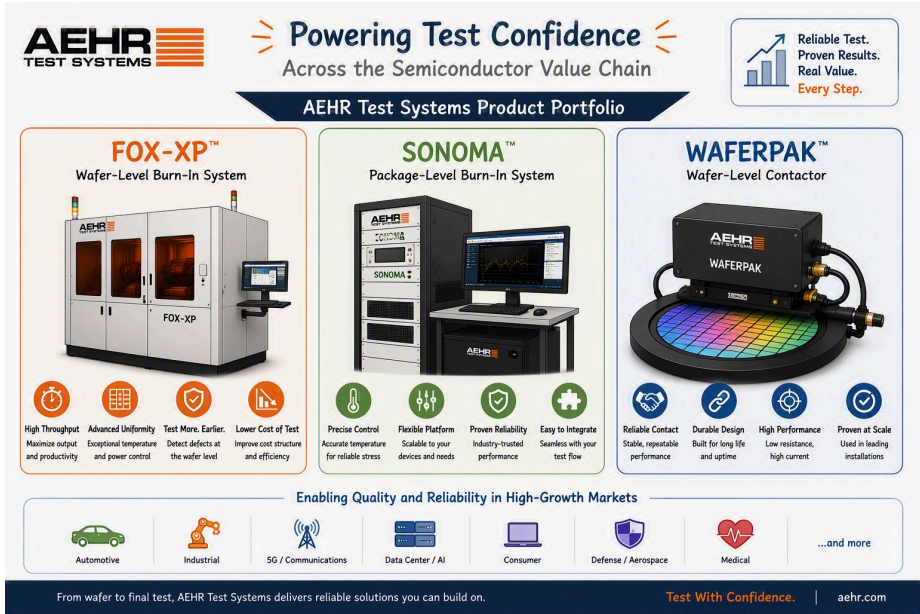
Source: JEF Research

Product Portfolio

AEHR's portfolio consists of systems, consumables, and services that support reliability screening across both wafer-level and package-level insertion points. The FOX platform family addresses wafer-level burn-in, while Sonoma, Tahoe, and Echo support package-level burn-in. Proprietary consumables, including WaferPak contactors and DiePak carriers, provide recurring revenue as customers ramp production, add capacity, and introduce new devices.

The breadth of the portfolio allows customers to move from engineering qualification to high-volume production using a common reliability platform. This increases AEHR's participation across the semiconductor manufacturing flow and creates additional opportunities for recurring consumables revenue.

Figure 7 - Overview of AEHR's Product Portfolio



Source: JEF Research

Wafer-Level Burn-In

Figure 8 - AEHR's WLBI Portfolio of Systems

Product	Type	Description	Target Applications
FOX-XP	WLBI, production	Up to 18 wafers in parallel, 2,048 universal channels per blade, 3.5kW and 4,000A per wafer, 150°C stress	AI, SiPh, SiC, GaN, memory
FOX-NP	WLBI, engineering	Dual wafers, hardware and software compatible with XP, converts qualification into production	New device introduction, HALT, HTOL
FOX-CP	WLBI, compact	Single wafer with integrated prober	Short test time devices, photonics, memory

Source: Company reports, JEF Research

- FOX-XP Multi-Wafer Production System:** The flagship high-throughput platform tests and burns-in up to 18 wafers in parallel. Each slot accepts FOX-P blades delivering up to 2,048 universal digital channels or 1,024 high-current/high-voltage channels; the high-power configuration dissipates up to 3.5kW and 4,000A per wafer, enabling parallel burn-in of large logic devices. For SiC, proprietary arc-suppression allows wafer-form testing at up to 2,000V without arcing. End markets span AI accelerators, silicon photonics ICs, SiC/GaN power devices, and advanced memory (HBM, flash).
- FOX-NP NPI and Engineering System:** A low-cost, small-footprint platform configured with up to two slot assemblies. This system is good for program development, process monitoring, new product introduction, and low volume production test and burn-in. Fully hardware- and software-compatible with FOX-XP, allowing programs developed during qualification to be transferred directly into high-volume production.
- FOX-CP Single-Wafer Compact System:** A low-cost single-wafer platform with an integrated automated prober, built for short test times (minutes to hours) or applications requiring multiple touchdowns per wafer. Optical pattern recognition enables hands-free alignment, screening failing logic, memory, and photonic die before packaging.

Figure 9 - A FOX-XP System for High Volume Production



Source: Company reports

Package Level Burn-In

Figure 10 - AEHR's PLBI Portfolio of Systems

Product	Type	Description	Target Applications
Sonoma	PLBI, high power	Individual liquid cooled sockets up to 2,000W per device, up to 88 processors per chamber	AI accelerators, HPC, hyperscaler ASICs
Tahoe	PLBI, medium power	Slot level stimulus and thermal, up to 72 BIBs per chamber	Logic, SoC, mixed signal
Echo	PLBI, low power	High parallelism, low power devices	Mobile, auto MCUs, consumer mixed signal

Source: Company reports, JEF Research

- **Sonoma High-Power Package-Level System:** Acquired via Incal Technology, Sonoma addresses high-power package-level qualification and production burn-in for next-generation AI accelerators, GPUs, and HPC processors. Individual liquid-cooled socket control supports devices up to 2,000W, with standard configurations handling up to 88 processors per chamber and optional automated tray-to-tray handling. Sonoma functions at leading test houses and OSATs for HTOL debug and production screening of custom hyperscaler AI ASICs.
- **Tahoe and Echo Medium/Low-Power Systems:** The legacy mid- and low-power PLBI lines. Tahoe provides slot-level stimulus and thermal control for medium-power devices using standard Burn-in Boards (up to 72 BIBs per chamber); Echo optimizes high-parallelism testing of low-power parts. Targets include mobile, automotive MCUs, and consumer mixed-signal ICs, with an installed base of 100+ systems across 20 companies.

Figure 11 - A Sonoma System Used for PLBI



Source: Company reports

Consumables & Services

Figure 12 - AEHR's Consumables Portfolio

Product	Type	Description	Target Applications
WaferPak	Consumable	Full wafer contactor with up to 50,000 probes, offline aligned	Device specific, 2 to 7 year lifecycle
DiePak	Consumable	Multi module socket for singulated die or packaged part burn in	Up to 1,024 devices in parallel

Source: Company reports, JEF Research

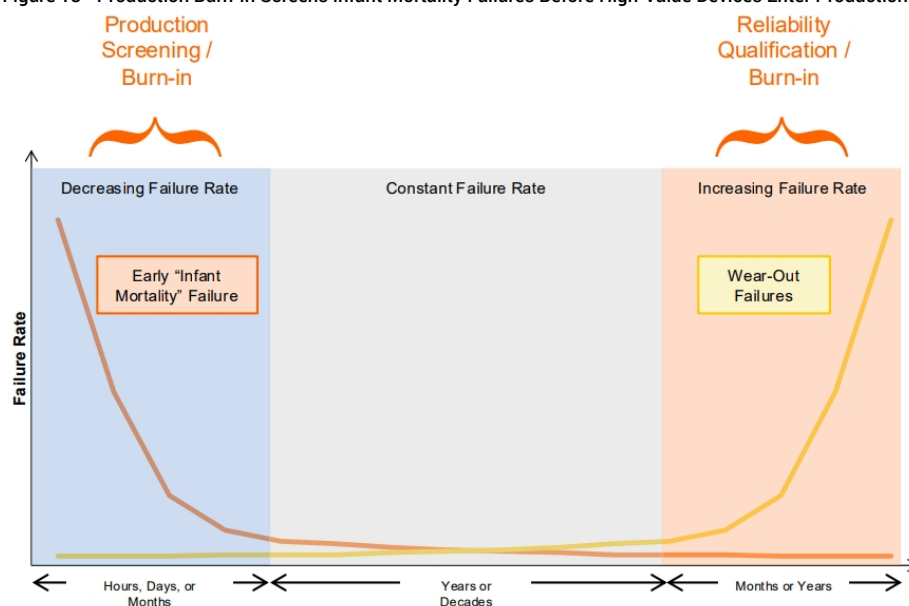
- **WaferPak Contactor:** A proprietary full-wafer contactor capable of making up to 50,000 simultaneous contacts on a 300mm wafer. The platform enables full-wafer burn-in without a dedicated prober and is customized to each device design. Because customers typically qualify multiple WaferPak sets over the life of a program, the product represents an important source of recurring revenue.
- **DiePak Carrier:** Multi-module sockets for singulated die/module burn-in, up to 1,024 devices in parallel, nine DiePaks per FOX-XP.
- **WaferPak Aligner:** Automated alignment supporting OHT/AMHS/AGV integration for lights-out wafer handling.
- **Services:** Installation, applications engineering, spares, training, and service contracts delivered globally.

Key Investment Considerations

Burn-In Intensity Is Entering a Secular Growth Cycle

We believe wafer-level and package-level burn-in adoption are inflecting, driven by the economics of AI chips/advanced packaging. While traditional ATE validates device functionality, burn-in identifies latent defects through prolonged electrical and thermal stress. As package complexity and device value increase, reliability screening is becoming increasingly important within the semiconductor test flow. As chiplet integration, HBM stacking, and rising per package power place substantially more value into each finished device, the cost of a late failure is rising faster than the cost of preventing it. The relevant question is not whether burn in demand grows, but how quickly WLBI becomes standard for the AI market and how meaningfully PLBI scales alongside it.

Figure 13 - Production Burn-In Screens Infant Mortality Failures Before High-Value Devices Enter Production

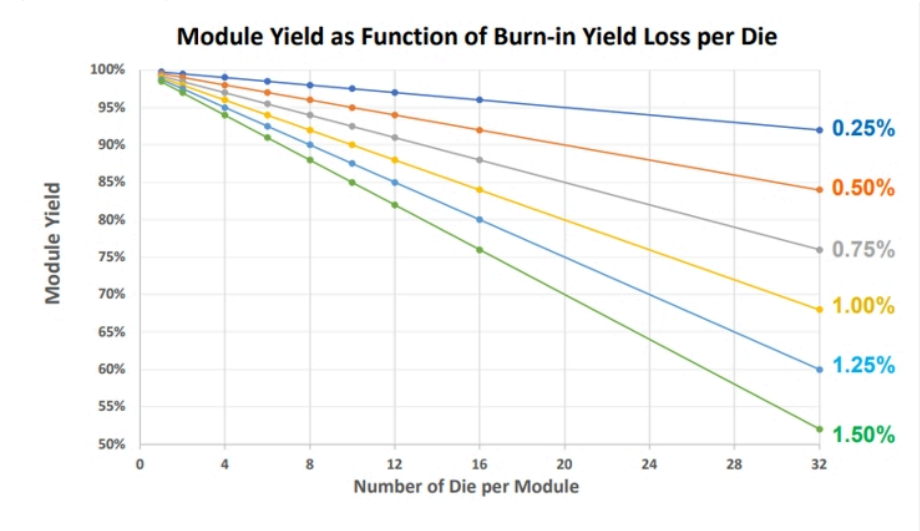


Source: Company reports

Compound Yield Math Makes Known Good Die a Requirement

We view the shift to heterogeneous integration as a structural change in test economics. Compound package yield falls as die count rises: eight HBM stacks plus a logic die, each with 95% individual yield, compound to roughly 63% at the module level if components are not screened before assembly. At a 1% per die infant mortality rate, a 32-die module suffers roughly 32% yield loss if burn-in is deferred to the completed module. Standard functional probe cannot detect these latent defects. They surface only under sustained thermal and electrical stress. Moving the screen upstream to the wafer level isolates known good die for roughly \$1 per die rather than scrapping a finished module worth thousands. The economic consequences of a defect continue to escalate beyond packaging, as a failed processor can ultimately impact accelerator boards, servers, and AI clusters worth orders of magnitude more than the device itself. We view this as the core economic engine of adoption of wafer-level burn-in. We view this as the core economic driver of wafer-level burn-in adoption. As package complexity, HBM content, and advanced packaging costs continue to increase, the economic advantage of identifying failures before assembly becomes increasingly compelling.

Figure 14 - Module yield declines as die count increases. AEHR helps solve this problem

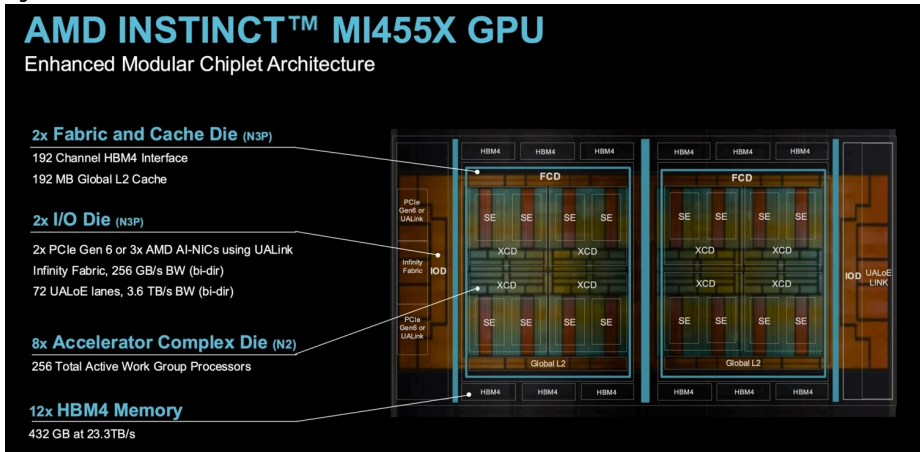


Source: Company reports

Rising Power and Thermal Density Push Test Toward 100% Coverage

Power density is the second driver forcing the burn-in inflection. Next generation accelerators are pulling several thousand amps and over 3,000W per wafer under stress. AEHR's FOX-XP supports up to 3.5kW and 4,000A per wafer, and the enhanced Sonoma platform now supports 2,000W or more per packaged device. Advanced packages such as AMD's Instinct MI455X combine multiple compute chiplets with up to 12 HBM4 stacks on a single substrate. Delivering and dissipating that power under stress, in parallel, is a hard physical problem that standard functional probe was never designed to solve. Our analysis suggests the physics of AI packaging make sampling insufficient for the highest value programs, which pushes burn-in toward 100% production screening for that tier of devices. For hyperscalers and cloud providers, the cost of an in-field failure can far exceed the manufacturing cost of the device, reinforcing the value of comprehensive reliability screening. As AI processors continue increasing in power consumption and thermal density, we believe burn-in requirements will become increasingly stringent.

Figure 15 - AMD MI455x GPU Features 12 HBM4 stacks



Source: AMD

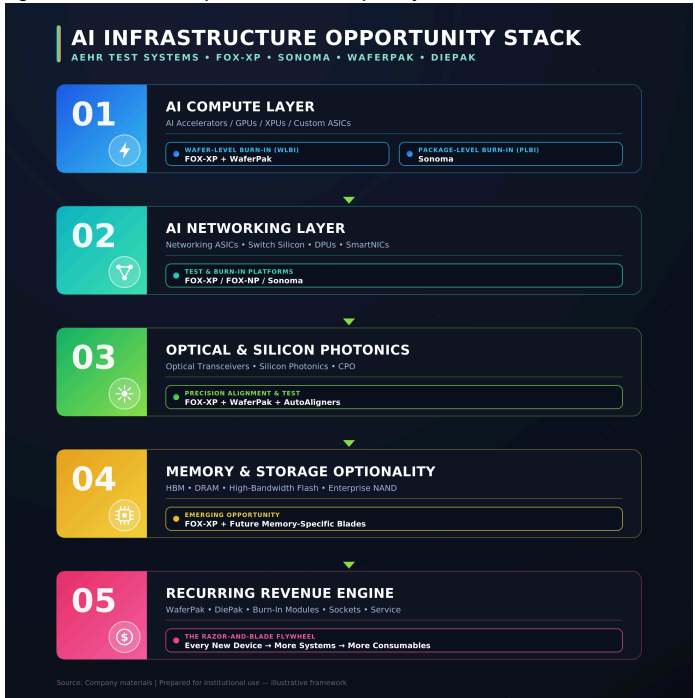
Why Adoption Is Not Universal

Burn-in is not universal today and will not be universal. Mature process nodes carry low defect rates. Low-cost devices do not justify long stress times. Throughput constraints, sampling, alternative test flows, and system level test remain viable for lower value silicon. Mature process nodes, lower-value devices, throughput constraints, and alternative reliability methodologies will continue to limit adoption in portions of the semiconductor market. Our base case does not assume universal WLBI adoption. It assumes AEHR captures the top of the market where the economics are unambiguous.

AEHR Has Evolved From a Cyclical SiC Supplier Into an AI Enabler

AEHR has undergone one of the most significant business mix transformations in the semiconductor equipment sector. In FY24, more than 90% of revenue was tied to silicon carbide applications, leaving the company heavily exposed to EV production cycles and customer-specific spending patterns. By FY26, approximately 95% of revenue originated outside the traditional SiC market. AI-related applications represented approximately 71% of FY26 revenue, making AI the largest contributor to the company's current growth trajectory.

Figure 16 - AEHR Participates Across Multiple Layers of the AI Infrastructure Stack



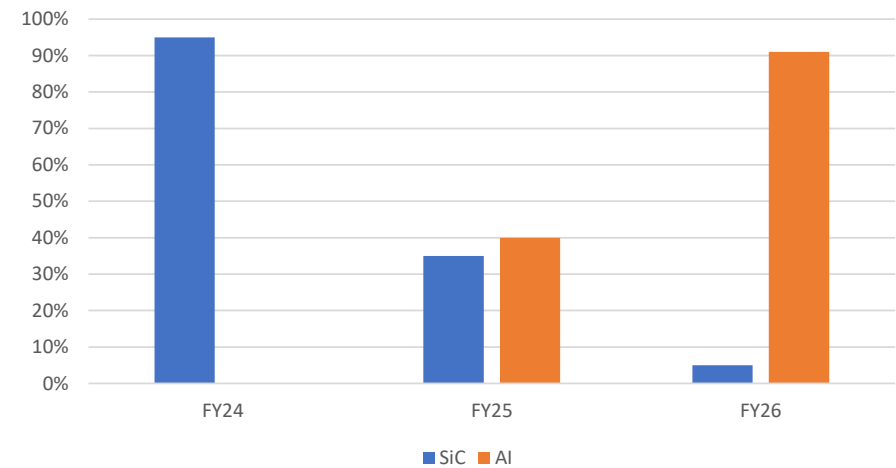
Source: Company reports, JEF Research

AI Is Now the Largest Growth Driver and WLBI Adoption Appears Repeatable

AI has become the primary growth driver for AEHR. The company's lead AI processor customer has already transitioned production burn-in from system-level testing to wafer-level burn-in on FOX-XP platforms and continues to expand capacity.

More importantly, recent benchmark activity suggests the adoption pattern may be repeatable. A second leading supplier of AI accelerators, CPUs, and networking processors has completed benchmark testing, exceeded performance expectations, and initiated evaluation of a second device. We believe this demonstrates that the economic benefits of wafer-level burn-in are not limited to a single customer or architecture and could expand across a broader set of AI processors over time.

Figure 17 - AEHR SiC vs AI Revenue %



Source: Company reports, JEF Research

Figure 18 - List of Customer Orders for AEHR Products
SiC = Red, AI/SiPho = Blue; Non-Exhaustive List

Date	Customer Identity	Product(s) / System(s) Ordered	Contract Value / Order Size
August 4, 2026	Lead Silicon Photonics WLBI Customer	FOX-XP multi-wafer production burn-in system, integrated WaferPak Auto Aligner, 9 WaferPak test blades, and robotic wafer handling	Undisclosed
July 14, 2026	Lead Silicon Carbide (SiC) Production Customer & Top 2 Global Automotive OEM	FOX WaferPak full-wafer Contactors	Over \$8M
July 14, 2026 (Reported Q4 FY26)	Major Supplier of AI Accelerators, CPUs, and Network Processors	FOX-XP Wafer-Level Burn-in (WLBI) solution & custom fine-pitch WaferPak	Undisclosed (Evaluation / Benchmark completed)
July 9, 2026	Lead Silicon Photonics Customer	Turnkey fully automated FOX-XP multi-wafer WLBI system and FOX WaferPak AutoAligner	Undisclosed
June 17, 2026	Major Silicon Photonics Customer / Global Networking Leader	Fully automated FOX-XP WLBI system (9-wafer parallel test), integrated WaferPak Auto Aligner, and full set of FOX WaferPak Contactors	Undisclosed
April 16, 2026	Lead Hyperscale Data Center Customer	Sonoma high-power package-level test and burn-in systems (PLBI), turnkey Burn-In Modules (BIMs), and device-specific sockets	\$41M
April 7, 2026 (Reported Q3 FY26)	Lead AI Processor Customer	Multiple new fully automated FOX-XP WLBI systems	Undisclosed
March 31, 2026	Major Networking Products Leader & Data Center Optics Supplier	Multiple systems: FOX-XP WLBI system (9-wafer test), FOX WaferPak Auto Aligner, multiple FOX-NP WLBI systems, and sets of FOX WaferPak Contactors	Undisclosed
March 3, 2026	Lead Silicon Photonics Customer	One new ultra-high-power FOX-XP WLBI system (300mm SECS/GEM automation) and system upgrade of an existing tool	Undisclosed
February 11, 2026	Lead Hyperscale Data Center Customer	Sonoma package-level test and burn-in systems (PLBI)	Undisclosed
January 8, 2026	Premier Silicon Valley Test Lab & Leading-Edge AI Companies	Sonoma ultra-high-power packaged-part burn-in (PPBI) systems (including new fully automated Sonoma platform)	> \$5.5M
August 25, 2025	Lead AI Processor Hyperscaler	Sonoma ultra-high-power package-level burn-in systems (8 additional systems)	Undisclosed
July 16, 2024	Lead Silicon Carbide (SiC) Customer	FOX WaferPak Full Wafer Contactors and SiC test tools	\$12.7M
April 4, 2024	New SiC Semiconductor Customer	FOX-NP wafer-level test and burn-in system, multiple WaferPak Contactors, and FOX WaferPak Aligner	Undisclosed

Source: Company reports, JEF Research

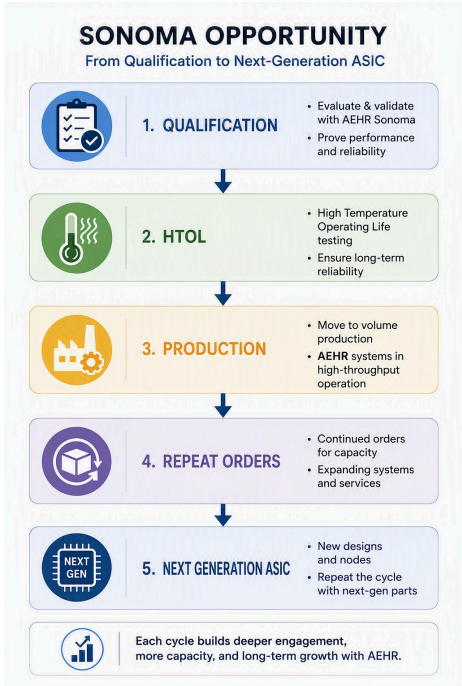
Sonoma Provides a Near-Term Revenue Bridge While AI Wafer-Level Burn-In Expands

While the focus for AEHR is often on the long-term potential of wafer-level burn-in, we believe Sonoma is currently the most visible near-term growth driver in the portfolio. Hyperscale AI processors are rapidly approaching thermal and power levels that traditional convection burn-in chambers were never designed to support. As power density rises, active conductive liquid cooling and individual device-level thermal management become increasingly necessary, particularly during qualification and production burn-in.

This demand is already reflected in customer activity. AEHR secured a record \$41M follow-on production order from its lead hyperscale customer for package-level burn-in of custom AI ASICs, and management disclosed that the customer is forecasting a substantial expansion for a second-generation device operating at roughly twice the power of the current generation.

Sonoma provides a near-term production opportunity while additional wafer-level burn-in programs progress through qualification. While package-level systems may carry lower recurring content than wafer-level platforms, Sonoma provides an important bridge between qualification and high-volume production while materially expanding AEHR's participation in the AI reliability ecosystem. We expect these systems to contribute meaningful revenue through FY27 and FY28, providing visibility while additional wafer-level opportunities progress through qualification.

Figure 19 - Sonoma Expands From Qualification Into Multi-Generation Production Programs



Source: Company reports, JEF Research

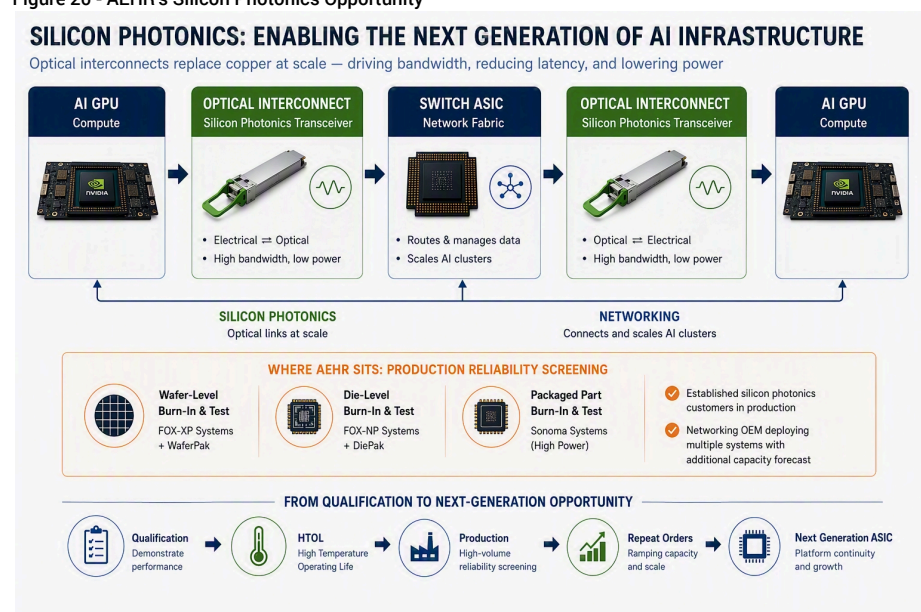
Silicon Photonics Is Transitioning From Optionality to Production

Silicon photonics is becoming an increasingly important component of AI infrastructure. As hyperscale clusters scale, copper interconnects are becoming a bottleneck for bandwidth, latency, and power consumption, driving greater adoption of optical networking, silicon photonics transceivers, and eventually co-packaged optics.

Unlike many emerging AI opportunities, AEHR's position in silicon photonics is already established. The company's lead silicon photonics customer has moved beyond qualification and continues to place production orders, including fully automated FOX-XP systems integrated with WaferPak AutoAligners and factory automation. In addition, a major networking OEM has purchased multiple FOX-XP and FOX-NP systems and provided forecasts for additional capacity as next-generation data center deployments ramp.

These developments suggest silicon photonics is evolving from a qualification-driven opportunity into a production business. As optical interconnect adoption expands across AI clusters, AEHR is positioned to participate in the reliability screening of optical devices and networking infrastructure. While co-packaged optics remains outside our forecast horizon, continued production ramps from existing customers support our expectation that silicon photonics becomes a meaningful contributor to growth alongside AI processors.

Figure 20 - AEHR's Silicon Photonics Opportunity



Source: Company reports, JEF Research

Memory Represents a Long-Term Opportunity

Memory represents a long-term opportunity that is largely absent from both investor expectations and company guidance. Management has disclosed completion of a NAND flash benchmark related to High-Bandwidth Flash applications and ongoing discussions with memory suppliers regarding HBM and DRAM roadmaps. While we do not include meaningful memory revenue in our forecast, successful qualification activity could create an additional growth vector over time.

AEHR Is The Only Vendor Offering Both Wafer-Level And Package-Level Burn-In For AI

Prior to the acquisition of Incal Technology, AEHR's opportunity was largely confined to wafer-level burn-in. The addition of Sonoma, Tahoe, and Echo expanded the company's reach into package-level burn-in, allowing participation across both major reliability insertion points within the semiconductor manufacturing flow. As a result, AEHR can support customers from engineering qualification through high-volume production while generating recurring consumables revenue throughout the product lifecycle.

We believe this broadens customer lifetime value, expands AEHR's participation within existing accounts, and increases the number of opportunities to generate recurring consumables revenue.

Figure 21 - Semiconductor Manufacturing Flow Stages and Where AEHR Generates Revenue

Stage	What It Proves	Typical Revenue Event
Engagement	Customer has identified a reliability challenge	Engineering support or no revenue
Benchmark	AEHR can solve the technical problem	Evaluation systems, FOX-NP, WaferPak
Qualification	Process meets customer requirements	Systems, contactors, engineering services
Pilot Production	Flow works at customer or OSAT	Initial production tools
Initial Production	Customer adopts the flow	FOX-XP or Sonoma orders
Repeat Production	Capacity expansion required	Multiple systems and consumables
Additional Device or Site	Platform expands inside account	New systems, WaferPaks, service
Recurring Production	Installed base generates repeat revenue	WaferPak, DiePak, service

Source: JEF Research

The Consumables Opportunity Is Underappreciated

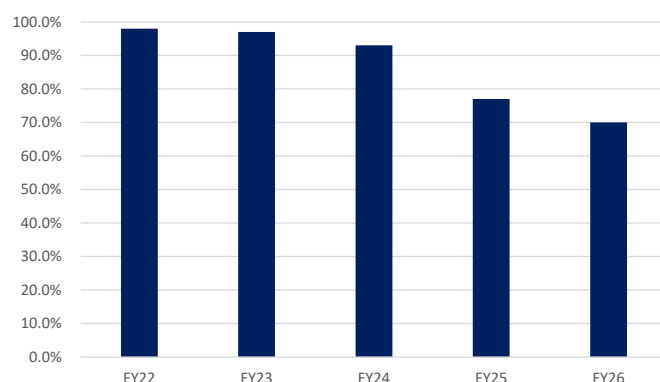
We believe consumables are one of the most valuable assets in AEHR's portfolio. WaferPak and DiePak consumables generate recurring revenue tied to production volume, device refreshes, and capacity expansions. As customers introduce new devices and scale manufacturing, consumables become an increasingly important contributor to revenue and profitability.

Management's long-term objective is for consumables to represent 30% to 50% of revenue, and the business has already demonstrated meaningful progress toward that goal. We believe investors continue to value AEHR primarily as a capital equipment supplier despite the fact that a growing portion of future earnings power is likely to come from recurring consumables revenue. In our view, the transition from equipment vendor to platform-plus-consumables model should ultimately support a higher valuation multiple.

Customer Diversification Has Fundamentally Changed the Story

One of the most significant changes at AEHR over the past several years has been the diversification of its customer base. In FY23, a single customer represented nearly 79% of revenue and the top five customers accounted for approximately 97% of sales. By FY25, the largest customer had declined to 39% of revenue, and we estimate it falls below 25% in FY27E. As a result, revenue is increasingly tied to multiple customers, product cycles, and end markets rather than a single silicon carbide spending cycle.

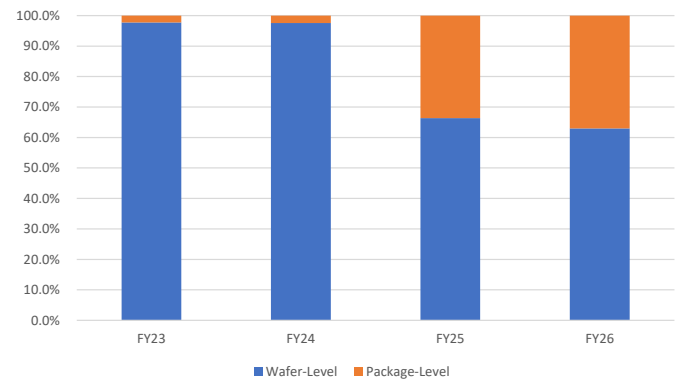
Figure 22 - Revenue from Top 5 Customers is Declining from Diversification



Source: Company reports, JEF Research

Diversification has also expanded beyond customers and into the product portfolio. The acquisition of Incal added package-level burn-in capabilities through the Sonoma, Tahoe, and Echo platforms, allowing AEHR to participate across multiple stages of the semiconductor reliability workflow. Package-level revenue increased from approximately \$1.6M in FY24 to nearly \$20M in FY25 and remained a meaningful contributor in FY26.

Figure 23 - AEHR Revenue is Diversifying within the Product Portfolio



Source: Company reports, JEF Research

Customer Adoption Appears To Be Accelerating

Recent customer activity also suggests adoption cycles may be accelerating. The company's recently disclosed networking customer progressed from initial engagement to production shipments in roughly seven months, while the benchmark AI customer has already completed evaluation on one processor and begun evaluation of a second device. As reliability screening gains acceptance across AI, optical networking, and advanced packaging applications, AEHR is increasingly benefiting from multiple independent growth vectors rather than relying on a single customer or end market.

Diversification Improves Revenue Quality

A broader customer base and larger installed base should increase the contribution of recurring revenue from WaferPaks, DiePaks, modules, and services while reducing dependence on any single customer spending decision. As production deployments scale across a wider set of customers and applications, recurring revenue should become a larger percentage of total sales.

Figure 24 - AEHR's Customer Base Continues to Expand
Non-Exhaustive List

Customers
Major Supplier of AI Accelerators, CPUs, and Network Processors
Lead Silicon Photonics Customer
Major Silicon Photonics Customer / Global Networking Leader
Premier Silicon Valley Test Lab & Leading-Edge AI Companies
Lead Hyperscale Data Center Customer
Top 2 Global Automotive OEM
Lead Silicon Carbide (SiC) Customer
SiC Semiconductor Customer #2

Source: Company reports, JEF Research

Power Semiconductors Provide a Valuable Second Growth Engine

While AI processors, package-level burn-in, and silicon photonics now represent the primary growth drivers, power semiconductors remain an important secondary opportunity. The key distinction is that AEHR no longer requires a return to peak silicon carbide spending levels for the investment thesis to work. Instead, stabilization in SiC and emerging adoption of GaN represent incremental upside to a business increasingly driven by AI-related applications.

Silicon Carbide Is Recovering From a Cyclical Correction

AEHR's first major growth cycle was driven by silicon carbide adoption in electric vehicles. By FY24, more than 90% of revenue was tied to SiC applications, making the subsequent EV inventory correction disproportionately impactful to both revenue growth and investor sentiment.

The slowdown experienced during FY24 and FY25 reflected inventory corrections, delayed EV production schedules, and a pause in capacity expansion rather than a deterioration in the long-term outlook for wide-bandgap power semiconductors. More recently, customers have resumed qualification activity and selective capacity additions. In the month preceding the July 2026 earnings call, AEHR received approximately \$8M of silicon carbide WaferPak orders, including expanded purchases from its lead customer and qualification-related orders from a major automotive OEM. In addition, one of the world's two largest automotive manufacturers selected AEHR's FOX platform to qualify silicon carbide suppliers across its supply chain.

While we are not forecasting a return to the aggressive expansion cycle of FY22-FY23, even a moderate recovery can generate meaningful revenue through consumables, qualification activity, and selective system demand.

Installed Base and 200mm Transition Support the Recovery

Most leading silicon carbide customers already possess meaningful FOX-XP capacity. As utilization improves, spending can return through consumables, replacement WaferPaks, qualification programs, and selective capacity additions before customers commit to major system purchases. The industry's transition from 150mm to 200mm wafers provides an additional source of demand, as larger wafers require new WaferPak designs and qualification work even when existing systems remain in place.

Figure 25 - SiC Market has gone through a Boom/Bust Cycle and is Stabilizing

Year / Phase	AEHR Insights & Milestones
2023 (Boom Phase)	Production capacity tripled (>200% expansion) to meet EV demand.
2024 (Correction)	Automotive inventory stockpiling caused order delays and guidance cuts.
2025 (Trough Phase)	SiC fell to <40% of total revenue as automotive capex paused outside China.
2026 (Stabilization)	Secured \$8M+ in new SiC orders in 30 days. Lead customer completed 200mm transition.

Source: Company reports, JEF Research

GaN Broadens AEHR's Exposure Beyond Automotive

While silicon carbide remains closely tied to EV adoption, gallium nitride expands AEHR's exposure into data center power infrastructure, telecommunications, industrial power systems, renewable energy, consumer electronics, and automotive applications. Unlike SiC, GaN benefits from multiple end markets, particularly the growing need for power efficiency within AI infrastructure.

AEHR has completed more than a dozen GaN-specific WaferPak designs currently in customer evaluation and has introduced what management describes as the industry's first 300mm wafer-level burn-in solution capable of performing high-temperature reverse-bias screening. Because GaN reliability testing requires high-voltage stress conditions similar to SiC, the FOX architecture is naturally suited to these applications.

Successful conversion of existing evaluation programs would create incremental system and consumable revenue that is not reflected in our forecast and further expand AEHR's participation in the broader power semiconductor market.

While timing remains uncertain, successful conversion of existing evaluation programs would create incremental system and consumable revenue that is not reflected in our forecast and further expand AEHR's participation in the broader power semiconductor market.

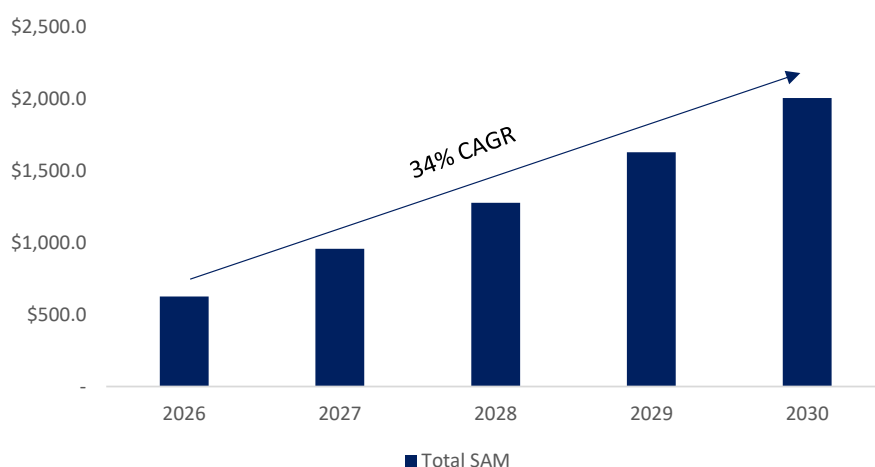
Conservative Financial Model

We believe the market is underestimating both the size of AEHR's addressable market and the degree of operating leverage embedded in the model. Our estimates are intentionally constructed around programs already in production, backlog already booked, and customer ramps already disclosed.

We estimate AEHR's SAM grows from approximately \$626M in 2026 to \$2.0B by 2030, a 34% CAGR, led by AI processors and silicon photonics, with additional opportunities across power semiconductors, memory and other high-reliability applications. The expansion reflects increasing demand for wafer-level and package-level burn-in as device power, complexity and packaging costs rise.

Importantly, our financial model assumes only modest penetration of this opportunity.

Figure 26 - AEHR Test SAM Rises from \$626M to \$2.0B by 2030



Source: JEF Research

Our Forecast Is Built on Existing Programs, Not Future Optionality

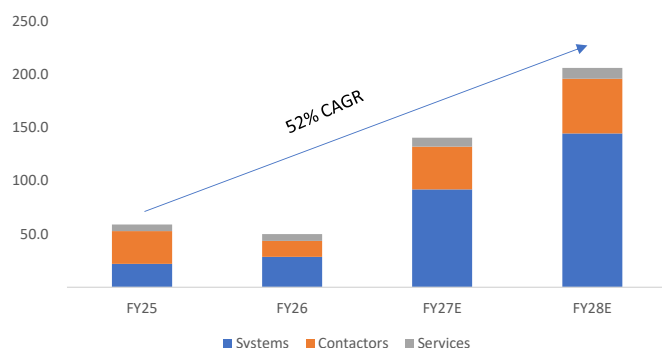
We model revenue increasing from \$50M in FY26 to \$140.4M in FY27E and \$206.0M in FY28E, driven by the existing AI wafer-level production customer, the hyperscale Sonoma deployment, existing silicon photonics production ramps, and a moderate recovery in power semiconductors. The model does not require broad industry adoption of wafer-level burn-in, nor does it rely on many of the most discussed opportunities in the story.

We see upside to our forecast if/when:

- Conversion of the AI benchmark customer into production
- Material NAND, HBM, or memory revenue
- Broad co-packaged optics (CPO) adoption
- A return to peak SiC spending levels

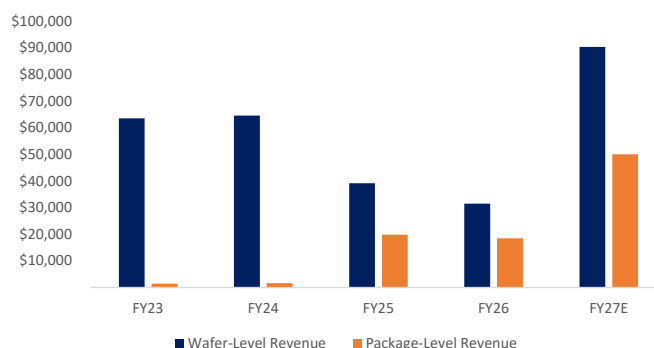
- Additional acquisitions

Figure 27 - We Forecast a +52% Revenue CAGR Over the Next 3 Years



Source: Company reports, JEF Research

Figure 28 - Wafer-Level Revenue Will Continue to Drive the Bulk of Revenue



Source: Company reports, JEF Research

FY27 Begins With High Revenue Visibility

We believe FY27 represents one of the strongest setups in AEHR's history.

Management guided FY27 revenue to \$130M-\$150M, implying approximately 160%-200% year-over-year growth versus FY26 revenue of \$50M. More importantly, the company entered the year with \$100.6M of effective backlog, consisting of \$80.6M reported at fiscal year-end plus approximately \$20M of bookings secured immediately afterward. The company requires only modest incremental bookings to achieve guidance. Given that AEHR generated \$60.7M of bookings in Q4 FY26 alone, we believe the remaining booking requirement is highly achievable without relying on upside scenarios.

Revenue growth is primarily driven by the continued ramp of existing AI, package-level burn-in, silicon photonics, and power semiconductor programs. As customer diversification improves, AEHR's revenue base becomes less dependent on any single spending cycle and increasingly tied to multiple secular growth markets.

Figure 29 - We Believe Our New Bookings Targets are Achievable

	FY26	FY27E	FY28E
Initial Backlog	15.2	80.6	90.2
(+) New bookings	115.4	150.0	230.0
Y/Y % change	88.5%	30.0%	53.3%
(-) Revenue	50.0	140.4	206.0
Y/Y % change	(15.2%)	180.9%	46.6%
Ending Backlog	\$80.6	\$90.2	\$114.2
<i>Book-to-bill</i>	2.3x	1.1x	1.1x

Source: Company reports, JEF Research

Capacity Is No Longer a Constraint

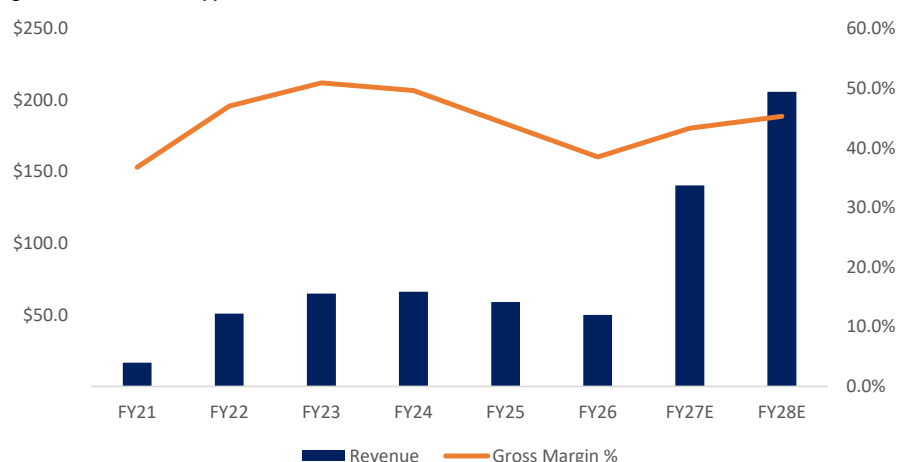
Over the last two years, AEHR has significantly expanded manufacturing capacity across both wafer-level and package-level product lines. The Fremont facility expansion increased manufacturing capacity for FOX systems, while the Southeast Asia contract manufacturing operation now supports Sonoma production for hyperscale AI customers. Additionally, AEHR is opening a new facility in the Phillipines for WaferPaks. Management has indicated that the current manufacturing footprint can support substantially higher revenue levels than the company has historically generated.

Gross Margin Expansion Is Driven by Scale and Mix

We model gross margin expanding from 38.5% in FY26 to 43.3% in FY27E and 45.3% in FY28E, driven by higher factory utilization, improved manufacturing absorption, and a mix shift toward higher-value AI test solutions. We believe FOX wafer-level burn-in systems generally carry gross margins ~50%, with WaferPak consumables above system margins, while Sonoma systems generate margins in the high-40% to 50% range. We see Sonoma consumables at ~30% margin.

AEHR has previously achieved gross margins of approximately 51% (FY23), and we believe the company can return toward that level over time as revenue scales, utilization improves, and the mix shifts toward higher-margin FOX systems and WaferPaks.

Figure 30 - We See GM Appreciation as Revenue Scales

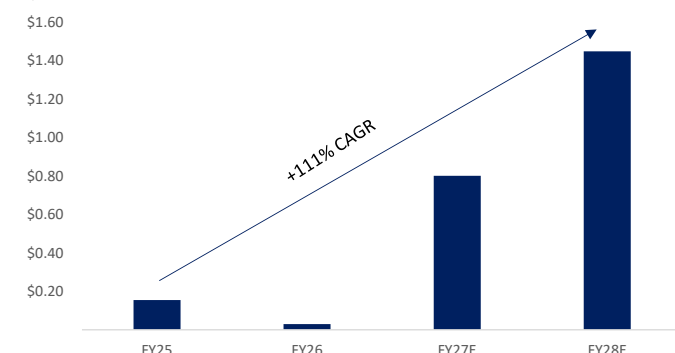


Source: Company reports, JEF Research

Revenue Growth and Operating Leverage Drive EPS Expansion

We forecast non-GAAP EPS increasing from \$0.15 in FY25 to \$1.45 in FY28E, representing a +111% CAGR, driven by strong revenue growth, gross margin expansion, and operating leverage. Higher system volumes should improve factory utilization and absorption of AEHR's fixed manufacturing and operating cost base, while a mix shift toward higher-value AI and wafer-level burn-in solutions should support further margin improvement. Given AEHR's relatively small revenue base, incremental customer and program wins can have an outsized impact on earnings. Key upside drivers include the conversion of additional AI benchmark customers into production, further FOX-XP and Sonoma deployments, higher WaferPak attachment and replacement demand, and faster adoption of silicon photonics burn-in.

Figure 31 - We See EPS Expansion as AEHR Continues to Win New Customers



Source: Company reports, JEF Research

The Balance Sheet Provides Flexibility

AEHR ended FY26 with approximately \$116.5M of cash and no debt following the FY26 equity raise. The balance sheet provides flexibility to support inventory builds, manufacturing expansion, and customer ramps without requiring additional capital. Working capital remains the primary free cash flow variable, particularly inventory and customer acceptance timing.

Competitive Positioning

AEHR's primary competition is not another wafer-level burn-in system, but alternative reliability methodologies, including package-level burn-in, system-level test, statistical sampling, and internally developed solutions. As device value, package complexity, and power density increase, the economics increasingly favor earlier reliability screening within the manufacturing flow.

Figure 32 - AEHR's Primary Competition is Alternative Methods

Category	Competitor	Reason
WLBI	None at high power multi wafer	AEHR is the only production proven vendor
WLBI (compound semi, low cost)	Crea, Pentamaster, NEXUSTEST	Cheaper, smaller footprint
PLBI (high power, AI)	Cohu, Chroma (partial), internal IDM	None offer 2,000W per device automation
High power test	Advantest, Teradyne	Focused on ATE, not thermal stress
Contactors	FormFactor probe cards	Different architecture (integrated with prober)
Automation	Cohu handlers	Complementary, not overlapping

Source: JEF Research

Traditional ATE Vendors Are Focused Elsewhere

While Teradyne and Advantest dominate functional and parametric testing, neither has established a meaningful position in high-power wafer-level burn-in. Historically, wafer-level burn-in has been viewed as a niche market relative to traditional test, limiting investment from larger competitors. Even if larger vendors choose to enter the market, they would still need to replicate AEHR's qualification history, WaferPak ecosystem, and installed production base.

AEHR Occupies a Unique Position in Wafer-Level Burn-In

AEHR remains the only production-proven supplier of high-power, multi-wafer burn-in systems operating at the scale required for modern AI processors, silicon photonics devices, and power semiconductors. The FOX-XP platform supports up to eighteen wafers simultaneously while delivering up to 3.5kW and 4,000 amps per wafer under controlled thermal conditions.

Traditional wafer probe and automated test platforms were designed for functional testing rather than long-duration reliability screening. AEHR's differentiation lies in its ability to perform high-power, high-parallelism burn-in at production scale.

WaferPak Creates Switching Costs

A key component of AEHR's competitive position is the proprietary WaferPak architecture. The platform enables more than 50,000 electrical contacts to be established simultaneously across an entire wafer while maintaining thermal stability and electrical integrity under burn-in conditions.

Because each WaferPak is customized to a specific device design, customers must qualify the consumable alongside the burn-in process itself. Once qualified, WaferPak creates switching costs and increases the difficulty of replacing AEHR within an established production flow.

Sonoma Extends the Platform Into Package-Level Burn-In

The acquisition of Incal Technology expanded AEHR's reach beyond wafer-level burn-in and into package-level reliability screening through the Sonoma, Tahoe, and Echo product families.

Sonoma was designed for high-power AI processors and custom hyperscale ASICs, supporting devices operating at up to 2,000 watts per package through liquid-cooled thermal management and independent device-level power control. The addition of Sonoma extends AEHR's participation into package-level reliability screening and allows the company to address both major burn-in insertion points within the semiconductor manufacturing flow.

Qualification History Creates a Significant Barrier to Entry

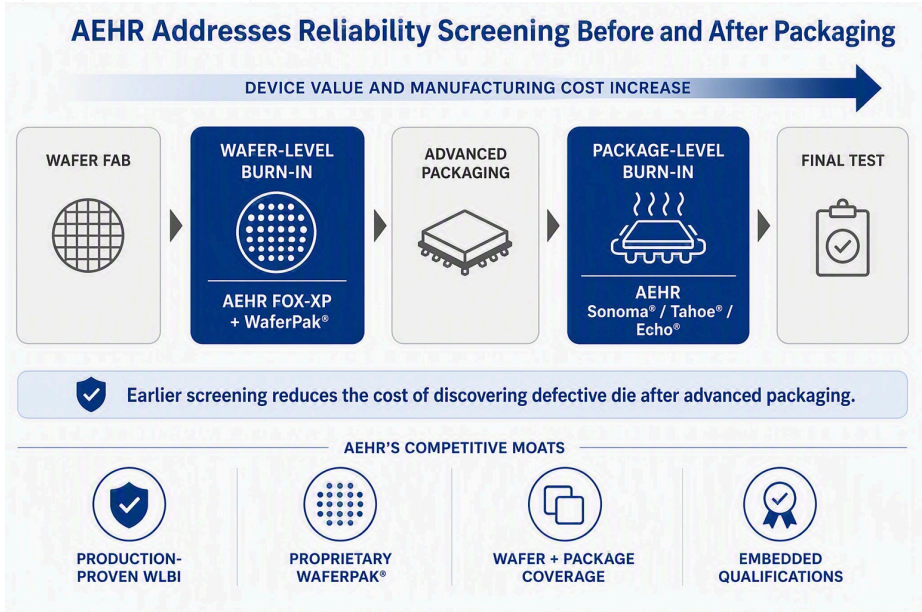
Production burn-in systems become deeply embedded within semiconductor manufacturing flows. Before deployment, customers typically perform extensive reliability validation, process characterization, and qualification work that can take months or years to complete.

Once a burn-in process becomes part of a customer's manufacturing flow, switching vendors can require requalification of the entire process. This creates a meaningful barrier to entry for new competitors and helps explain why production programs often remain in place for multiple device generations.

Why AEHR Wins

AEHR's competitive position is built on four factors: production-proven wafer-level burn-in technology, proprietary WaferPak consumables, participation across both wafer-level and package-level burn-in, and a qualification history that is deeply embedded within customer manufacturing flows. Together, these factors create meaningful barriers to entry and support recurring revenue opportunities across multiple semiconductor end markets.

Figure 33 - AEHR has a Strong Competitive Moat within Burn-In



Source: JEF Research

Valuation

We are initiating coverage of AEHR with a Buy rating and a \$175 price target. Our target is based on a 20x EV/Sales multiple applied to our CY29E revenue of \$328M, discounted back to CY28 at a 15% discount rate. We use EV/Sales as our primary valuation framework because AEHR is in the early stages of a multi-year revenue and earnings inflection. Revenue is expected to grow significantly faster than the broader semiconductor equipment industry while operating margins and recurring revenue mix continue to improve, making near-term earnings multiples less representative of the company's long-term earnings power. We apply a 15% cost of equity to reflect AEHR's equity-only balance sheet, small-cap profile, and execution and customer-concentration risk.

Figure 34 - Our \$175 PT Reflects ~36% Upside

	Downside	Base	Upside
2029 Estimated CY Revenue (\$ mn):	\$245.9	\$327.9	\$409.9
Target EV/Sales Multiple:	6.0x	20.0x	35.0x
Enterprise Value:	\$1,475	\$6,558	\$14,345
Discount Rate:	15%	15%	15%
EV Discounted to 2028:	1,283	5,702	12,474
(+) Cash & Short-Term Inv (MRQ):	116	116	116
(-) Net Debt (MRQ):	0	0	0
Equity Value:	\$1,399	\$5,819	\$12,590
Diluted Share Count (MRQ):	33	33.2	33
Implied Share Price:	\$42	\$175	\$380
Current Price:	\$129.23	\$129.23	\$129.23
Implied % Return:	(67.4%)	35.7%	193.7%

Source: JEF Research

Figure 35 - Historical FY-2 Yr EV/S



Source: FactSet, JEF Research

Importantly, AEHR already trades at approximately 20x EV/CY28E consensus revenue today. We believe a 20x multiple is sustainable (and apply it to our CY29 estimate) as AEHR's revenue mix shifts from cyclical silicon carbide toward AI wafer- and package-level burn-in, SiPho, and networking, which now drive the majority of revenue and backlog. As the market increasingly recognizes AEHR as a

structural AI-reliability enabler rather than a SiC capital-equipment name, we expect the multiple to hold (and potentially re-rate higher) rather than compress toward the broader semiconductor test peer group at ~6x or high-growth semi peers at ~12x.

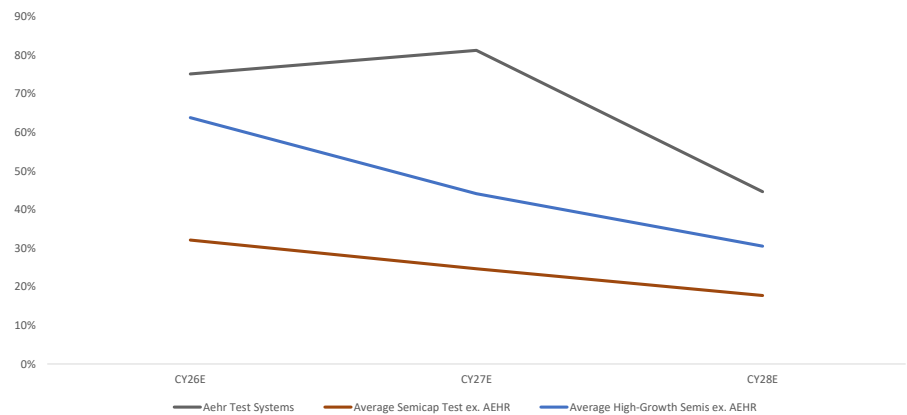
While our 20x multiple sits well above these peer averages, we believe AEHR's business model differs meaningfully from traditional semiconductor equipment companies. The company benefits from exposure to multiple AI-driven reliability screening markets, a growing recurring consumables business, and significant operating leverage as revenue scales. We estimate revenue will increase from approximately \$50M in FY26 to more than \$200M by FY28E, with operating margins expanding toward the mid-20% range. Even at these revenue levels, we believe AEHR would still be serving only a fraction of its long-term addressable opportunity, which we see growing from \$626M in 2026 to \$2.0B by 2030. As a result, we believe AEHR deserves a meaningful premium to traditional semiconductor test peers.

Figure 36 - AEHR Comp Table

Company Name	Ticker	Rating	8/13/2026 Price	Price Target	Upside/ Downside	Market Cap (\$M)	Enterprise Value (\$M)	CY26E	EV/Sales CY27E	CY28E	Valuation							
											EV/FCF CY27E	CY28E	CY26E	EV/EBITDA CY27E	CY28E	CY26E	P/E CY27E	CY28E
Semicap Test																		
Advantest Corp.	6857-JP	NR	\$216.99	NR	NR	158,836	156,218	16.3x	12.8x	10.8x	57.4x	41.3x	31.4x	32.2x	24.6x	20.6x	45.3x	34.8x
Asxcelis Technologies, Inc.	ACLS-US	NR	\$142.14	NR	NR	4,389	4,093	4.6x	4.1x	3.3x	NM	NM	NM	30.4x	21.9x	NM	34.6x	27.0x
Cohu, Inc.	COHU-US	Buy	\$56.14	\$74.00	32%	2,858	2,490	4.1x	3.2x	2.8x	47.61x	54.6x	23.5x	30.7x	16.7x	12.9x	59.1x	22.0x
MKS Inc.	MKSI-US	NR	\$306.83	NR	NR	20,747	25,882	5.1x	4.2x	3.9x	42.6x	29.3x	22.9x	18.3x	14.4x	12.6x	23.4x	17.5x
Nova Ltd.	NVMI-US	Buy	\$405.90	\$600.00	48%	12,901	13,766	12.8x	10.1x	8.6x	65.3x	38.1x	NM	34.9x	26.3x	20.1x	38.0x	29.7x
Onto Innovation, Inc.	ONTO-US	Buy	\$337.35	\$400.00	19%	16,555	16,350	11.4x	8.9x	7.8x	81.2x	34.8x	33.1x	34.8x	24.2x	20.6x	41.7x	25.3x
Teradyne, Inc.	TER-US	NR	\$402.74	NR	NR	62,965	63,291	12.3x	10.1x	8.1x	51.0x	48.7x	34.6x	35.4x	27.0x	20.3x	43.7x	26.1x
Veeva Instruments Inc.	VECO-US	NR	\$53.26	NR	NR	3,256	3,389	4.3x	3.1x	NM	NM	NM	NM	31.4x	14.4x	NM	35.5x	16.8x
Average ex. AEHR						35,288	35,685	8.9x	7.1x	6.5x	843.1x	41.1x	29.1x	31.6x	21.2x	17.8x	40.2x	27.6x
Median ex. AEHR						14,728	15,058	8.3x	6.6x	7.8x	61.4x	39.7x	31.4x	31.8x	23.0x	20.2x	39.9x	24.5x
AEHR Test Systems	AEHR-US	Buy	\$129.23	\$175.00	35%	4,216	3,857	40.8x	22.0x	15.5x	NM	NM	NM	276.4x	113.1x	NM	338.5x	120.8x
High-Growth Semis																		
ARM Holdings PLC Sponsored ADR	ARM-US	NR	\$271.87	NR	NR	289,285	289,673	50.2x	37.9x	28.4x	193.1x	130.2x	88.0x	102.3x	77.7x	59.1x	128.6x	72.1x
Astera Labs, Inc.	ALAB-US	Buy	\$318.80	\$450.00	41%	55,307	57,240	30.5x	19.1x	14.8x	104.6x	36.3x	40.6x	77.5x	43.7x	32.8x	80.7x	39.2x
Cohort Corp.	COHR-US	Buy	\$355.64	\$375.00	5%	69,577	71,343	8.5x	6.2x	4.5x	312.8x	76.5x	40.3x	33.9x	22.5x	16.4x	51.0x	23.5x
Onco Technology Group Holding Ltd.	CRDO-US	Buy	\$298.16	\$270.00	1%	50,006	49,058	23.5x	15.0x	11.1x	68.7x	36.0x	25.7x	45.7x	27.9x	21.0x	50.9x	25.6x
Lattice Semiconductor Corporation	LSCC-US	Buy	\$129.27	\$175.00	35%	18,360	17,993	19.6x	13.5x	11.2x	66.9x	43.1x	32.0x	45.4x	30.0x	24.3x	60.7x	30.5x
Lumentum Holdings, Inc.	LITE-US	Buy	\$932.47	\$1,200.00	29%	72,546	68,495	14.9x	8.8x	6.2x	80.9x	36.1x	21.3x	36.7x	19.5x	13.2x	62.1x	23.6x
MACOM Technology Solutions Holdings, Inc.	MTSI-US	Buy	\$310.75	\$450.00	45%	23,732	24,117	22.8x	16.7x	12.9x	116.1x	77.3x	42.5x	64.3x	46.0x	32.5x	78.0x	49.6x
Monolithic Power Systems, Inc.	MPWR-US	NR	\$1,425.01	NR	NR	70,029	68,801	16.6x	13.2x	11.5x	63.5x	42.9x	41.6x	44.4x	34.1x	27.9x	52.1x	40.6x
Average ex. AEHR						81,105	80,840	23.3x	16.3x	12.6x	125.8x	59.8x	41.5x	56.3x	37.7x	28.4x	70.5x	47.0x
Median ex. AEHR						62,442	62,868	21.2x	14.3x	11.4x	92.8x	43.0x	40.5x	45.6x	32.0x	26.1x	61.4x	32.8x
AEHR Test Systems	AEHR-US	Buy	\$129.23	\$175.00	35%	4,216	3,857	40.8x	22.0x	15.5x	NM	NM	NM	276.4x	113.1x	NM	338.5x	120.8x

Source: FactSet, JEF Research

Figure 37 - AEHR is Outgrowing Both Semicap Test Peers and High-Growth Semi Peers



Source: Company reports, FactSet, JEF Research

Key Risks

- WLBI Adoption May Remain Limited to a Small Number of Programs:** Our long-term model assumes wafer-level burn-in adoption expands beyond current production deployments into a broader set of AI accelerators, networking ASICs, silicon photonics devices, and power semiconductors. Longer qualification cycles, alternative test methodologies, or improvements in device yields could slow adoption and reduce the addressable market.
- Customer Qualification and Conversion Delays:** Several opportunities, including the AI benchmark customer, memory programs, additional silicon photonics deployments, and future

hyperscale engagements, remain in evaluation or qualification phases. Delays in converting these programs into production could push out revenue opportunities and reduce forecast visibility.

- **AI and Hyperscale Spending Volatility:** System demand is tied to hyperscale AI infrastructure spending, customer ASIC roadmaps, advanced packaging capacity, and silicon photonics deployment schedules. Changes in customer investment plans or program timing could affect bookings and revenue conversion.
- **Customer Concentration:** Customer concentration has improved significantly, but several large AI, hyperscale, and silicon photonics programs continue to represent a meaningful portion of revenue. Delays, pushouts, or spending pauses by major customers could create quarterly revenue volatility.
- **Competition and Execution:** AEHR competes with regional burn-in suppliers, internally developed customer solutions, and alternative reliability screening methodologies. The company must also continue scaling manufacturing capacity, supporting international customers, integrating new product lines, and managing intellectual property protection costs while maintaining operational execution.

Management

- **Gayn Erickson has served as President and Chief Executive Officer of AEHR Test Systems since January 2012.** Prior to joining AEHR, Mr. Erickson served as Corporate Officer, SVP, and GM of Verigy's Memory Test Business Unit. Before Verigy, he served as Vice President of Marketing and Sales for Agilent Technologies' Semiconductor Memory Test products. Erickson has more than 35 years of experience in semiconductor test, operations, sales, marketing, product development, and general management, beginning his career with Hewlett-Packard's Automated Test Group. Since joining AEHR, Erickson has overseen the company's expansion into silicon carbide wafer-level burn-in, the acquisition of Incal Technology in 2024, and the company's growth in AI accelerator, silicon photonics, networking, and package-level burn-in applications. Erickson holds a Bachelor of Science degree in Electrical Engineering from Arizona State University.
- **Christopher P. Siu has served as Executive Vice President and Chief Financial Officer of AEHR Test Systems since June 2023.** Prior to joining AEHR, Mr. Siu served as SVP of Finance, Corporate Treasurer, and Chief Accounting Officer at Ultra Clean Holdings, a provider of critical subsystems and ultra-high purity manufacturing services for the semiconductor industry. Earlier in his career, he held senior finance and management positions at GlobalFoundries, a multinational semiconductor foundry, and Trident Microsystems, a fabless semiconductor company. Siu began his career in public accounting with EY and Deloitte and is a Certified Public Accountant (inactive) in California. He holds a Bachelor of Science degree in Accounting from Brigham Young University–Hawaii and a Master of Business Administration degree from the University of California, Berkeley.
- **Adil Engineer has served as Chief Operating Officer of AEHR Test Systems since April 2022.** Prior to joining AEHR, Engineer served as Head of Operations at Tecan, where he oversaw manufacturing operations for the company's primary U.S. production site. Earlier in his career, he spent 11 years at KLA-Tencor and also held positions at Coherent and Kateeva, with responsibilities spanning manufacturing, manufacturing engineering, new product introduction, and supply chain management. Engineer has more than 20 years of experience in semiconductor equipment and medical technology manufacturing and operations. Since joining AEHR, he has overseen the expansion of the company's manufacturing infrastructure, including the Fremont facility expansion, the integration of Incal Technology's operations, and the development of the company's Southeast Asia contract manufacturing strategy to support growing demand for both wafer-level and package-level burn-in systems. Engineer holds a bachelor's degree in Chemical Engineering from TKIET and a Graduate Certificate in Management Science and Engineering from Stanford University.

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- Donald P. Richmond II is Chief Technology Officer and joined AEHR Test Systems in 1998 as a Senior Electrical Engineer focused on the company's wafer-level test and burn-in solutions and has held a number of engineering and leadership positions before being elected VP of Engineering in March 2018.** Prior to joining AEHR, Richmond was co-founder, board member, and VP of Operations at ChipScale Inc./Micro SMT Inc., a company focused on chip-scale packaging for semiconductor integrated circuits and discrete devices. Earlier in his career, he served as President of TEAM Holdings Ltd./TEAM International Ltd., a semiconductor packaging subcontractor, and began his career in semiconductor design at Signetics Corporation. Richmond has more than 40 years of experience spanning semiconductor design, packaging, operations, customer support, and engineering management. At AEHR, he has led the development of the company's wafer-level burn-in platforms, package-level burn-in technologies, and associated consumable products, including WaferPak and DiePak solutions. Richmond holds a Bachelor of Science in Electrical Engineering Technology from DeVry Institute of Technology.

Figure 38 - Revenue Breakdown

Aehr Test Systems Period Ending \$ in million	Sep-25 1Q26	Dec-25 2Q26	Mar-26 3Q26	Jun-26 4Q26	Sep-26 1Q27E	Dec-26 2Q27E	Mar-27 3Q27E	Jun-27 4Q27E	Sep-27 1Q28E	Dec-27 2Q28E	Mar-28 3Q28E	Jun-28 4Q28E	Sep-28 1Q29E	Dec-28 2Q29E	2026 CYE	2027 CYE	2028 CYE	2026 FY	2027 FYE	2028 FYE
Segment Model																				
Revenue by Type																				
Systems	6.8	5.0	5.8	11.1	17.8	21.6	25.4	27.1	29.9	32.9	39.9	41.9	43.1	45.7	56.3	115.2	170.5	28.7	91.9	144.4
Contractors	2.6	3.4	3.0	5.8	8.2	12.6	9.5	9.9	11.4	14.0	12.6	13.4	16.7	20.2	29.6	44.7	62.9	14.9	40.1	51.3
Services	1.6	1.5	1.5	1.9	2.0	2.0	2.2	2.3	2.4	2.5	2.6	2.7	2.9	3.0	7.4	9.3	11.3	6.4	8.4	10.2
Total	\$11.0	\$9.9	\$10.3	\$18.8	\$27.9	\$36.3	\$37.0	\$39.3	\$43.6	\$49.3	\$55.0	\$58.0	\$62.7	\$69.0	\$93.4	\$169.1	\$244.7	\$50.0	\$140.4	\$206.0
Check	11.0	9.9	10.3	18.8	27.9	36.3	37.0	39.3	43.6	49.3	55.0	58.0	62.7	69.0	93.3	169.1	244.7	50.0	140.4	206.0
Check from Backlog																				
QoQ Growth																				
Systems	(12.9%)	(26.5%)	16.2%	92.8%	59.9%	21.0%	17.5%	7.0%	10.1%	10.1%	21.4%	5.0%	3.0%	6.0%						
Contractors	(38.4%)	31.8%	(12.8%)	94.0%	40.0%	55.0%	(25.0%)	4.0%	15.1%	23.0%	(10.1%)	7.0%	24.0%	21.5%						
Services	(23.6%)	(7.9%)	4.2%	21.7%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%						
Total	(22.1%)	(9.9%)	4.3%	82.6%	48.3%	29.8%	2.0%	6.1%	11.0%	13.1%	11.6%	5.5%	8.0%	10.1%						
YoY Growth																				
Systems	11,173.3%	45.9%	(46.2%)	43.6%	163.6%	333.8%	338.5%	143.3%	67.4%	52.3%	57.3%	54.3%	44.4%	39.1%	86.3%	104.5%	48.1%	30.4%	220.5%	57.2%
Contractors	(78.4%)	(59.8%)	(49.4%)	37.4%	212.2%	267.1%	215.8%	69.3%	39.2%	10.4%	32.4%	36.2%	46.7%	44.9%	82.5%	50.7%	40.8%	(51.7%)	169.7%	27.8%
Services	65.0%	(0.1%)	(6.0%)	(10.8%)	22.6%	39.8%	40.8%	21.6%	21.6%	21.6%	21.6%	21.6%	21.6%	21.6%	9.2%	25.5%	21.6%	4.9%	30.5%	21.6%
Total	(16.4%)	(26.5%)	(43.7%)	33.7%	154.7%	267.0%	258.7%	108.4%	56.0%	35.9%	48.8%	47.9%	43.8%	39.9%	75.3%	81.2%	44.7%	(15.2%)	180.9%	46.6%
% of Sales																				
Systems	61.7%	50.3%	56.1%	59.2%	63.8%	59.5%	68.5%	69.1%	68.5%	66.6%	72.4%	72.1%	68.8%	66.3%	60.3%	68.1%	69.7%	57.3%	65.4%	70.1%
Contractors	23.8%	34.8%	29.1%	30.9%	29.2%	34.9%	25.6%	25.1%	26.1%	28.3%	22.8%	23.1%	26.6%	29.3%	31.7%	26.4%	25.7%	29.8%	28.6%	24.9%
Services	14.5%	14.8%	14.8%	9.9%	7.0%	5.7%	5.8%	5.8%	5.4%	5.1%	4.8%	4.7%	4.6%	4.4%	7.9%	5.5%	4.6%	12.9%	6.0%	5.0%
Total	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Bookings & Backlog																				
Initial Backlog	15.2	15.5	11.8	38.7	80.6	82.7	81.5	84.5	90.2	96.6	102.3	107.3	114.2	126.6	118	81.5	102.3	15.2	80.6	90.2
(+) New bookings	11.3	6.2	37.2	60.7	30.0	35.0	40.0	45.0	50.0	55.0	60.0	65.0	75.0	80.0	162.9	190.0	280.0	115.4	150.0	230.0
(-) Revenue	11.0	9.9	10.3	18.8	27.9	36.3	37.0	39.3	43.6	49.3	55.0	58.0	62.7	69.0	93.3	169.1	244.7	50.0	140.4	206.0
Ending Backlog	\$15.5	\$11.8	\$38.7	\$80.6	\$82.7	\$81.5	\$84.5	\$90.2	\$96.6	\$102.3	\$107.3	\$114.2	\$126.6	\$137.6	\$81.5	\$102.3	\$137.6	\$80.6	\$90.2	\$114.2
Check	15.5	11.8	38.7	80.6														80.6		
QoQ Growth																				
New bookings	2.0%	(45.1%)	500.0%	63.2%	(50.5%)	16.6%	14.3%	12.5%	11.1%	10.0%	9.1%	8.3%	15.4%	6.7%						
Revenue	(22.1%)	(9.9%)	4.3%	82.6%	48.0%	30.1%	1.9%	6.3%	11.0%	13.1%	11.6%	5.4%	8.0%	10.1%						
Ending Backlog	2.2%	(23.7%)	227.3%	108.1%	2.7%	(1.5%)	3.7%	6.8%	7.1%	5.9%	4.8%	6.5%	10.8%	8.7%						
YoY Growth																				
New bookings	(32.7%)	(32.9%)	54.4%	447.8%	165.6%	464.5%	7.5%	(25.9%)	66.6%	57.1%	50.0%	44.4%	50.0%	45.5%	209.3%	16.6%	47.4%	88.5%	30.0%	53.3%
Revenue	(18.4%)	(26.5%)	(43.7%)	33.7%	154.1%	267.0%	258.3%	108.6%	58.4%	36.0%	48.9%	47.7%	43.8%	39.8%	75.2%	81.3%	44.7%	(15.2%)	180.8%	46.7%
Ending Backlog	(6.6%)	(4.6%)	112.8%	430.7%	433.2%	588.5%	118.3%	12.0%	16.8%	25.6%	26.9%	26.6%	31.0%	34.5%	588.5%	25.6%	34.5%	430.7%	12.0%	26.6%
Other Metrics																				
Book-to-bill	1.0x	0.6x	3.6x	3.2x	1.1x	1.0x	1.1x	1.1x	1.1x	1.1x	1.1x	1.1x	1.2x	1.2x	1.7x	1.1x	1.1x	2.3x	1.1x	1.1x
Backlog burn rate (Rev / Beg BL)	72.2%	63.7%	87.2%	48.6%	29.0%	37.5%	38.0%	38.5%	40.0%	42.5%	45.0%	45.0%	45.0%	45.0%						
Median %	96.6%	81.0%	147.6%	77.4%	90.5%	78.5%	129.4%	76.4%	84.4%	76.1%	111.3%	75.4%	82.4%	69.9%						
5-Yr median %	96.6%	81.0%	147.6%	77.4%	96.6%	76.1%	111.3%	75.4%	84.4%	76.1%	111.3%	70.6%	72.2%	63.7%						
Book-and-ship %					15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%						
Effective backlog	16.3	18.3	50.9	100.6																

Source: Company reports, JEF Research

Figure 39 - Income Statement

Aehr Test Systems Period Ending \$ in million	Sep-25 1Q26	Dec-25 2Q26	Mar-26 3Q26	Jun-26 4Q26	Sep-26 1Q27E	Dec-26 2Q27E	Mar-27 3Q27E	Jun-27 4Q27E	Sep-27 1Q28E	Dec-27 2Q28E	Mar-28 3Q28E	Jun-28 4Q28E	Sep-28 1Q29E	Dec-28 2Q29E	2026 CYE	2027 CYE	2028 CYE	2026 FY	2027 FYE	2028 FYE
Income Statement																				
Revenues	\$11.0	\$9.9	\$10.3	\$18.8	\$27.9	\$36.3	\$37.0	\$39.3	\$43.6	\$49.3	\$55.0	\$58.0	\$62.7	\$69.0	\$93.3	\$169.1	\$244.7	\$50.0	\$140.4	\$206.0
QoQ	(22.1%)	(9.9%)	4.3%	82.6%	48.0%	30.1%	1.9%	6.3%	11.0%	13.1%	11.6%	5.4%	8.0%	10.1%				(15.2%)	180.8%	46.7%
YoY	(16.4%)	(26.5%)	(43.7%)	33.7%	154.1%	267.0%	258.3%	108.6%	56.4%	36.0%	48.9%	47.7%	43.8%	39.8%	75.2%	81.3%	44.7%	30.8	79.6	112.6
Cost of Goods	6.9	6.9	6.6	10.4	16.0	20.7	20.9	22.0	24.2	27.1	30.0	31.3	33.5	36.6	53.7	94.2	131.4	30.8	79.6	112.6
Gross Profit	\$4.1	\$3.0	\$3.8	\$8.4	\$11.8	\$15.6	\$16.1	\$17.3	\$19.4	\$22.2	\$25.0	\$26.7	\$29.1	\$32.4	\$39.6	\$74.9	\$113.3	\$19.3	\$60.8	\$93.3
R&D	2.5	2.6	2.9	3.2	3.5	3.8	4.3	4.5	4.8	5.0	5.3	5.5	5.8	6.0	13.3	18.6	22.6	11.2	16.0	20.6
SG&A	3.5	3.1	3.4	4.2	4.4	4.6	5.1	5.3	5.5	5.7	5.9	6.1	6.3	6.5	16.8	21.8	25.0	14.2	19.6	23.4
Total Operating Expense	5.9	5.7	6.3	7.5	7.9	8.4	9.4	9.9	10.3	10.8	11.2	11.7	12.1	12.6	30.1	40.4	47.6	25.4	35.6	44.0
Operating Income	(\$1.8)	(\$2.7)	(\$2.5)	\$1.0	\$3.9	\$7.2	\$6.7	\$7.4	\$9.1	\$11.4	\$13.8	\$15.0	\$17.0	\$19.8	\$9.5	\$34.6	\$65.7	(\$6.2)	\$25.2	\$49.3
Interest Income (Exp), net	1.3	0.2	0.2	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	2.5	3.0	3.0	2.5	3.0	3.0
Profit Before Taxes	(\$0.6)	(\$2.5)	(\$2.3)	\$1.7	\$4.7	\$7.9	\$7.4	\$8.2	\$9.8	\$12.2	\$14.6	\$15.8	\$17.8	\$20.6	\$12.0	\$37.6	\$68.7	(\$3.7)	\$28.2	\$52.3
Taxes	(0.8)	(1.2)	(0.8)	(1.8)	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	(2.2)	0.8	0.8	(4.6)	0.8	0.8
Net Income - Pro Forma	\$0.2	(\$1.3)	(\$1.5)	\$3.6	\$4.5	\$7.7	\$7.2	\$8.0	\$9.6	\$12.0	\$14.4	\$15.6	\$17.6	\$20.4	\$14.2	\$36.8	\$67.9	\$0.9	\$27.4	\$51.5
EPS - Pro Forma (ex-ESO)	\$0.01	(\$0.04)	(\$0.05)	\$0.11	\$0.13	\$0.23	\$0.21	\$0.23	\$0.27	\$0.34	\$0.40	\$0.43	\$0.48	\$0.55	\$0.43	\$1.05	\$1.87	\$0.03	\$0.80	\$1.45
EPS - Pro Forma (incl-ESO)	(\$0.05)	(\$0.10)	(\$0.09)	\$0.05	\$0.08	\$0.16	\$0.16	\$0.18	\$0.22	\$0.29	\$0.35	\$0.38	\$0.43	\$0.50	\$0.22	\$0.84	\$1.67	(\$0.19)	\$0.58	\$1.24
EPS - GAAP	(\$0.07)	(\$0.11)	(\$0.10)	\$0.04	\$0.07	\$0.17	\$0.15	\$0.17	\$0.21	\$0.28	\$0.34	\$0.37	\$0.42	\$0.50	\$0.18	\$0.81	\$1.63	(\$0.23)	\$0.55	\$1.21
Fully Diluted Shares	29.9	30.2	30.7	33.2	33.5	33.9	34.3	34.8	35.0	35.3	35.7	36.2	36.5	36.7	32.8	34.9	36.3	30.7	34.1	35.6
Sequential Change																				
Gross Profit	(15.8%)	(28.3%)	27.5%	124.1%	40.6%	31.7%	3.1%	7.5%	12.2%	14.4%	12.8%	6.6%	9.2%	11.2%				(25.9%)	215.8%	53.5%
R&D	4.0%	4.3%	10.4%	12.7%	7.8%	8.6%	13.3%	5.9%	5.5%	5.2%	5.0%	4.7%	4.5%	4.3%				21.8%	43.7%	28.4%
SG&A	13.5%	(11.1%)	11.9%	23.2%	4.7%	4.5%	10.8%	3.9%	3.7%	3.6%	3.5%	3.4%	3.3%	3.2%				1.7%	37.6%	19.4%
Opex	9.3%	(4.6%)	11.2%	18.4%	6.0%	6.3%	11.9%	4.8%	4.6%	4.4%	4.2%	4.0%	3.9%	3.7%				9.7%	40.3%	23.4%
Operating Income	-	-	-	-	310.9%	82.9%	(7.3%)	11.4%	22.4%	25.9%	21.0%	8.7%	13.3%	16.6%				-	-	96.0%
Pre-tax Income	-	-	-	-	174.1%	69.6%	(6.6%)	10.3%	20.4%	23.9%	19.7%	8.2%	12.7%	15.9%				-	-	85.8%
Net Income	-	-	-	-	26.0%	72.7%	(6.8%)	10.6%	20.9%	24.4%	20.0%	8.3%	12.8%	16.1%				-	-	80.7%
EPS	-	-	-	-	24.8%	70.8%	(7.9%)	8.9%	20.0%	23.4%	18.9%	6.7%	12.0%	15.2%				(80.8%)	2,604.5%	80.7%
YoY Change																				
Gross Profit	(42.6%)	(51.6%)	(51.9%)	72.3%	187.9%	428.7%	327.5%	105.1%	63.7%	42.3%	55.8%	54.4%	50.2%	46.0%	100.4%	89.1%	51.1%	(25.9%)	215.8%	53.5%
R&D	15.4%	29.7%	9.0%	34.9%	39.8%	45.6%	49.4%	40.3%	37.4%	33.1%	23.4%	22.1%	21.0%	19.9%	32.1%	39.5%	21.5%	21.8%	43.7%	28.4%
SG&A	2.9%	(20.9%)	(6.5%)	39.2%	28.4%	50.8%	49.3%	25.9%	24.7%	23.7%	15.5%	15.0%	14.4%	13.9%	26.4%	29.8%	14.7%	1.7%	37.6%	19.4%
Opex	7.8%	(3.7%)	(0.0%)	37.3%	33.1%	48.4%	49.3%	32.1%	30.3%	27.9%	19.1%	18.2%	17.4%	16.7%	28.9%	34.1%	17.8%	9.7%	40.3%	23.4%
Operating Income	-	-	-	-	-	-	-	676.3%	131.3%	59.2%	107.7%	102.6%	87.5%	73.7%	-	263.6%	90.1%	-	-	96.0%
Pre-tax Income	-	-	-	-	-	-	-	378.6%	110.2%	53.6%	96.8%	93.2%	80.8%	69.2%	-	213.4%	82.9%	-	-	85.8%
Net Income	(92.1%)	-	-	-	2,517.2%	-	-	124.2%	115.1%	54.9%	99.5%	95.5%	82.5%	70.3%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
EPS	(92.1%)	-	-	-	2,237.6%	-	-	113.8%	105.7%	48.6%	91.7%	87.9%	75.4%	63.7%	2,012.9%	143.2%	77.5%	(80.8%)	2,604.5%	80.7%
Percent of Sales																				
Gross Margin	37.5%	29.8%	36.5%	44.7%	42.5%	43.0%	43.5%	44.0%	44.5%	45.0%	45.5%	46.0%	46.5%	47.0%	42.5%	44.3%	46.3%	38.5%	43.3%	45.3%
R&D	22.6%	26.2%	27.7%	17.1%	12.5%	10.4%	11.6%	11.5%	11.0%	10.2%	9.6%	9.5%	9.2%	8.7%	14.3%	11.0%	9.2%	22.3%	11.4%	10.0%
SG&A	31.6%	31.2%	33.4%	22.6%	16.0%	12.8%	13.9%	13.6%	12.7%	11.7%	10.8%	10.6%	10.1%	9.5%	18.0%	12.9%	10.2%	28.5%	14.0%	11.4%
Opex	54.2%	57.4%	61.2%	39.7%	28.4%	23.2%	25.5%	25.1%	23.7%	21.8%	20.4%	20.1%	19.3%	18.2%	32.3%	23.9%	19.4%	50.8%	25.4%	21.4%
Operating Margin	(16.7%)	(27.6%)	(24.7%)	5.1%	14.1%	19.8%	18.0%	18.9%	20.8%	23.2%	25.1%	25.9%	27.2%	28.8%	10.2%	20.4%	26.9%	(12.3%)	17.9%	24.0%
Pre-Tax Margin	(5.3%)	(25.3%)	(22.5%)	9.1%	16.8%	21.9%	20.0%	20.8%	22.5%	24.7%	26.5%	27.2%	28.4%	29.9%	12.8%	22.2%	28.1%	(7.4%)	20.1%	25.4%
Tax Rate	129.4%	48.5%	34.4%	(108.2%)	4.3%	2.5%	2.7%	2.4%	2.0%	1.6%	1.4%	1.3%	1.1%	1.0%	(18.7%)	2.1%	1.2%	124.6%	2.8%	1.5%
Net Income	1.6%	(13.1%)	(14.8%)	18.9%	16.1%	21.3%	19.5%	20.3%	22.1%	24.3%	26.1%	26.8%	28.0%	29.6%	15.3%	21.7%	27.8%	1.8%	19.5%	25.0%
Reconciliation of Pro Forma to GAAP																				
Share-based compensation	(\$1.7)	(\$1.8)	(\$1.4)	(\$1.9)	(\$1.9)	(\$1.9)	(\$1.9)	(\$1.9)	(\$1.9)	(\$1.9)	(\$1.9)	(\$1.9)	(\$1.9)	(\$1.9)	(\$7.0)	(\$7.5)	(\$7.5)	(\$6.8)	(\$7.5)	(\$7.5)
Excess and obsolescence provision	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Dissolution of Aehr Test Systems Japan	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Acquisition related costs	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Amortization of intangible assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Acquisition related adjustments	(0.4)	(0.3)	(0.3)	(0.3)	(0.3)	(0.3)	(0.3)	(0.3)	(0.3)	(0.3)	(0.3)	(0.3)	(0.3)	(0.3)	(1.2)	(1.2)	(1.2)	(1.3)	(1.2)	(1.2)
Officer severance benefits	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Restructuring charges	(0.2)	0.2	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(0.0)	-	-
Income from forgiveness of PPP loan	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Income - GAAP	(\$2.1)	(\$3.2)	(\$3.2)	\$1.4	\$2.3	\$5.6	\$5.0	\$5.8	\$7.5	\$9.8	\$12.2	\$13.4	\$15.4	\$18.2	\$6.1	\$28.1	\$59.3	(\$7.1)	\$18.7	\$42.9
GAAP Shares	29.9	30.2	30.7	33.2	33.5	33.9	34.3	34.8	35.0	35.3	35.7	36.2	36.5	36.7	32.8	34.9	36.3	30.7	34.1	35.6
EPS - GAAP	(\$0.07)	(\$0.11)	(\$0.10)	\$0.04	\$0.07	\$0.16	\$0.15	\$0.17	\$0.21	\$0.28	\$0.34	\$0.37	\$0.42	\$0.50	\$0.18	\$0.81	\$1.63	(\$0.23)	\$0.55	\$1.21

Source: Company reports, JEF Research

Figure 40 - Balance Sheet

Aehr Test Systems																				
Period Ending	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28	2026	2027	2028	2026	2027	2028
\$ in million	1Q26	2Q26	3Q26	4Q26	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	1Q29E	2Q29E	CYE	CYE	CYE	FY	FYE	FYE
Balance Sheet																				
Assets																				
Cash and cash equivalents	\$22.7	\$30.8	\$36.9	\$116.4	\$138.9	\$136.6	\$143.5	\$149.2	\$154.3	\$160.3	\$168.8	\$182.0	\$195.3	\$209.7	\$136.6	\$160.3	\$209.7	\$116.4	\$149.2	\$182.0
Short-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts receivable	13.1	10.3	11.8	17.5	11.2	14.6	14.9	15.8	17.5	19.8	22.1	23.3	25.2	27.7	14.6	19.8	27.7	17.5	15.8	23.3
Inventories	41.8	42.7	41.2	41.4	27.5	35.4	35.8	37.7	41.5	46.5	51.4	53.7	57.5	62.7	35.4	46.5	62.7	41.4	37.7	53.7
Contract assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Prepaid expenses and other current as	6.4	4.3	6.0	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3
Total Current Assets	\$84.1	\$88.2	\$95.9	\$184.4	\$186.8	\$195.9	\$203.4	\$211.9	\$222.6	\$235.9	\$251.6	\$268.3	\$287.3	\$309.4	\$195.9	\$235.9	\$309.4	\$184.4	\$211.9	\$268.3
Property and equipment, net	9.0	9.0	9.3	8.9	8.7	8.3	7.8	7.2	6.5	5.7	4.8	3.8	2.7	1.6	8.3	5.7	1.6	8.9	7.2	3.8
Right of use assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Goodwill	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7	10.7
Intangible asset	10.4	10.1	9.8	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6	9.6
Deferred tax assets	19.9	21.1	21.9	23.8	23.8	23.8	23.8	23.8	23.8	23.8	23.8	23.8	23.8	23.8	23.8	23.8	23.8	23.8	23.8	23.8
Operating lease right-of-use	9.4	9.3	9.1	8.9	8.9	8.9	8.9	8.9	8.9	8.9	8.9	8.9	8.9	8.9	8.9	8.9	8.9	8.9	8.9	8.9
Other non-current assets	0.6	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3
Total Assets	\$144.1	\$148.7	\$157.0	\$246.7	\$248.8	\$257.5	\$264.5	\$272.4	\$282.4	\$294.9	\$309.8	\$325.4	\$343.3	\$364.2	\$257.5	\$294.9	\$364.2	\$246.7	\$272.4	\$325.4
Liabilities																				
Accounts payable	\$3.4	\$3.5	\$2.1	\$6.8	\$4.5	\$5.8	\$5.8	\$6.2	\$6.8	\$7.6	\$8.4	\$8.8	\$9.4	\$10.2	\$5.8	\$7.6	\$10.2	\$6.8	\$6.2	\$8.8
Accrued expenses and other current li	6.5	3.7	4.2	5.3	5.3	5.3	5.3	5.3	5.3	5.3	5.3	5.3	5.3	5.3	5.3	5.3	5.3	5.3	5.3	5.3
Income tax payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Current portion of operating lease liabil	0.9	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6
Short term debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred revenue	1.1	0.4	1.9	5.2	5.2	5.2	5.2	5.2	5.2	5.2	5.2	5.2	5.2	5.2	5.2	5.2	5.2	5.2	5.2	5.2
Total Current Liabilities	\$11.9	\$8.3	\$8.7	\$17.9	\$15.6	\$16.9	\$16.9	\$17.3	\$17.9	\$18.7	\$19.5	\$19.9	\$20.5	\$21.3	\$16.9	\$18.7	\$21.3	\$17.9	\$17.3	\$19.9
Non-current operating lease liabilities	9.7	9.6	9.4	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3
Deferred revenue	0.0	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Long term debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other non-current liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Liabilities	\$21.7	\$18.0	\$18.3	\$27.2	\$24.9	\$26.2	\$26.3	\$26.6	\$27.2	\$28.0	\$28.8	\$29.2	\$29.8	\$30.7	\$26.2	\$28.0	\$30.7	\$27.2	\$26.6	\$29.2
Convertible preferred stock																				
Shareholders' Equity																				
Common stock	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3	\$0.3
Additional paid-in capital	147.3	159.0	170.1	249.5	249.6	249.6	249.6	249.6	249.6	249.6	249.6	249.6	249.6	249.6	249.6	249.6	249.6	249.5	249.6	249.6
Accumulated other comprehensive inc	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)
Accumulated deficit	(25.1)	(28.4)	(31.6)	(30.2)	(26.0)	(18.6)	(11.7)	(4.0)	5.3	17.0	31.1	46.4	63.6	83.7	(18.6)	17.0	83.7	(30.2)	(4.0)	46.4
Total Shareholder's Equity	\$122.4	\$130.8	\$138.8	\$219.5	\$223.8	\$231.3	\$238.2	\$245.8	\$255.2	\$266.9	\$280.9	\$296.2	\$313.5	\$333.6	\$231.3	\$266.9	\$333.6	\$219.5	\$245.8	\$296.2
Total Liabilities & Equity	\$144.1	\$148.7	\$157.0	\$246.7	\$248.8	\$257.5	\$264.5	\$272.4	\$282.4	\$294.9	\$309.8	\$325.4	\$343.3	\$364.2	\$257.5	\$294.9	\$364.2	\$246.7	\$272.4	\$325.4
Check	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Source: Company reports, JEF Research

Figure 41 - Cash Flow Statement

Aehr Test Systems															2026			2027			2028			2026			2027			2028		
Period Ending	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028						
\$ in million	1Q26	2Q26	3Q26	4Q26	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	1Q29E	2Q29E	CYE	CYE	CYE	FY	FYE	FYE	FY	FYE	FYE	FY	FYE	FYE						
Cash Flows																																
Cash Flow from Operations																																
Net Income	(\$2.1)	(\$3.2)	(\$3.2)	\$1.4	\$2.3	\$5.6	\$5.0	\$5.8	\$7.5	\$9.8	\$12.2	\$13.4	\$15.4	\$18.2	\$6.1	\$28.1	\$59.3	(\$7.1)	\$18.7	\$42.9												
Stock-based compensation	1.7	1.8	1.4	1.9	1.9	1.9	1.9	1.9	1.9	1.9	1.9	1.9	1.9	1.9	7.0	7.5	7.5	6.8	7.5	7.5												
Depreciation and amortization	0.7	0.7	0.7	0.7	0.8	0.9	1.0	1.1	1.2	1.3	1.4	1.5	1.6	1.7	3.0	4.6	6.2	2.8	3.8	5.4												
Deferred income taxes	(0.8)	(1.2)	(0.8)	(1.9)	-	-	-	-	-	-	-	-	-	-	(2.8)	-	-	(4.7)	-	-	-											
Accretion of investment discount	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												
Amortization of operating lease right-of-use assets	0.2	0.2	0.2	0.2	-	-	-	-	-	-	-	-	-	-	0.4	-	-	0.7	-	-	-											
Impairment of assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												
Provision for credit losses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												
Gain from forgiveness of PPP loan	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												
Non-cash operating lease expense	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												
Net gain from dissolution of AEHR Japan	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												
Income tax benefit related to AEHR Japan	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												
Other	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												
Changes in operating assets and liabilities:																																
Accounts receivable	1.1	2.8	(1.5)	(5.7)	6.3	(3.4)	(0.3)	(0.9)	(1.7)	(2.3)	(2.3)	(1.2)	(1.9)	(2.5)	(4.3)	(5.2)	(7.9)	(3.3)	1.7	(7.5)												
Inventories	0.2	(0.9)	0.9	(0.2)	13.9	(8.0)	(0.3)	(1.9)	(3.8)	(5.0)	(4.9)	(2.3)	(3.8)	(5.2)	6.6	(11.1)	(16.2)	0.0	3.6	(16.0)												
Prepaid and other assets	1.6	0.5	(1.7)	(3.2)	-	-	-	-	-	-	-	-	-	-	(4.9)	-	-	(2.8)	-	-	-											
Accounts payable	(2.4)	0.3	(1.4)	4.5	(2.3)	1.3	0.1	0.3	0.6	0.8	0.8	0.4	0.6	0.8	2.1	1.8	2.6	1.0	(0.6)	2.6												
Accrued expenses	0.5	(1.0)	0.4	1.1	-	-	-	-	-	-	-	-	-	-	1.5	-	-	1.0	-	-	-											
Deferred revenue	(0.9)	(0.7)	1.4	3.3	-	-	-	-	-	-	-	-	-	-	4.7	-	-	3.2	-	-	-											
Operating lease liabilities	(0.2)	(0.5)	(0.1)	(0.1)	-	-	-	-	-	-	-	-	-	-	(0.3)	-	-	(1.0)	-	-	-											
Income taxes payable	0.0	(0.0)	-	0.1	-	-	-	-	-	-	-	-	-	-	0.1	-	-	0.1	-	-	-											
Net Cash from Operations	(\$0.3)	(\$1.2)	(\$3.7)	\$1.8	\$22.9	(\$1.7)	\$7.3	\$6.2	\$5.6	\$6.5	\$9.0	\$13.7	\$13.9	\$14.9	\$19.3	\$25.6	\$51.5	(\$3.3)	\$34.7	\$34.8												
Cash Flow from Investing																																
Purchases of property and equipment	(1.4)	(0.5)	(0.1)	(0.1)	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)	(1.2)	(2.0)	(2.0)	(2.1)	(2.0)	(2.0)												
Proceeds from maturities of investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												
Purchases of investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												
Business acquisition	-	(1.8)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(1.8)	-	-	-											
Net Cash from Investing	(\$1.4)	(\$2.3)	(\$0.1)	(\$0.1)	(\$0.5)	(\$0.5)	(\$0.5)	(\$0.5)	(\$0.5)	(\$0.5)	(\$0.5)	(\$0.5)	(\$0.5)	(\$0.5)	(\$1.2)	(\$2.0)	(\$2.0)	(\$3.9)	(\$2.0)	(\$2.0)												
Cash Flows from Financing																																
Proceeds from issuance of common stock from public	-	9.4	10.2	77.8	-	-	-	-	-	-	-	-	-	-	88.0	-	-	97.4	-	-	-											
Proceeds from issuance of common stock under emj	0.2	0.9	0.1	1.1	-	-	-	-	-	-	-	-	-	-	1.1	-	-	2.2	-	-	-											
Shares repurchased for tax withholdings on vesting of	(0.3)	(0.5)	(0.5)	(1.1)	-	-	-	-	-	-	-	-	-	-	(1.6)	-	-	(2.4)	-	-	-											
Line of credit repayment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												
Net Cash from Financing	(\$0.2)	\$9.8	\$9.8	\$77.8	-	-	-	-	-	-	-	-	-	-	\$87.6	-	-	\$97.2	-	-	-											
Effect of exchange rate changes on cash and cash equiv	0.0	(0.0)	0.0	(0.0)	-	-	-	-	-	-	-	-	-	-	(0.0)	-	-	(0.0)	-	-	-											
Cash and Cash eqv at beginning	\$26.5	\$24.7	\$31.0	\$37.1	\$116.5	\$138.9	\$136.6	\$143.5	\$149.2	\$154.3	\$160.3	\$168.8	\$182.0	\$195.3	\$31.0	\$136.6	\$160.3	\$26.5	\$116.5	\$149.2												
Net increase in cash and cash eqv	(1.8)	6.3	6.1	79.4	22.4	(2.2)	6.8	5.7	5.1	6.0	8.5	13.2	13.4	14.4	105.7	23.6	49.5	90.0	32.7	32.8												
Cash and cash Eqv at end	\$24.7	\$31.0	\$37.1	\$116.5	\$138.9	\$136.6	\$143.5	\$149.2	\$154.3	\$160.3	\$168.8	\$182.0	\$195.3	\$209.7	\$136.6	\$160.3	\$209.7	\$116.5	\$149.2	\$182.0												
Check	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-												

Source: Company reports, JEF Research

Company Description

Aehr

Aehr Test Systems, Inc. engages in the provision of semiconductor test, burn-in, and reliability qualification solutions. The company offers wafer-level, singulated die, and packaged-part test and burn-in systems, including solutions for silicon carbide power semiconductors, artificial intelligence processors, silicon photonics, memory, and logic devices. Aehr Test Systems was founded in 1977 and is headquartered in Fremont, CA.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

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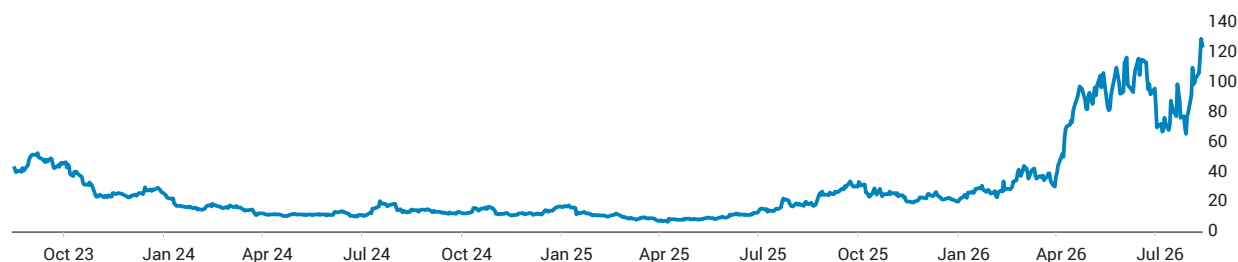
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Rating and Price Target History for: Aehr Test Systems (AEHR) as of 08-13-2026



Distribution of Ratings

	IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent
BUY	2202	62.24%	384	17.44%
HOLD	1177	33.27%	90	7.65%
UNDERPERFORM	159	4.49%	0	0.00%

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